

Initiation of Coverage

CXMT Corporation

Capitalising on the memory supercycle and China localisation; initiate with a Buy rating

DRAM pricing uptrend to continue; share gains to provide further support

We initiate coverage of CXMT, China's largest and most advanced integrated DRAM manufacturer, with a Buy rating. We forecast earnings to reach Rmb140/333/428bn in 2026/27/28E (19% above Wind consensus on average), implying 75% CAGR; EBIT margin sustaining at 75-85% during 2026-28E, thanks to: 1) DRAM industry undersupply till at least Q228E; 2) CXMT share gains from aggressive capacity expansion, China localisation and a broader customer base; and 3) a gradually improving product portfolio, including High Bandwidth Memory (HBM). AI infra demand should be a structural growth driver, along with share gains in smartphones and other consumer electronics. We expect a data centre revenue CAGR of 208% in 2025-28E, or 54% of CXMT's total revenue in 2028E (up 28ppt vs. 2025). CXMT trades at 6.4x 2027E P/BV on an average ROE of 37% in 2028-30E. We believe valuation is attractive given its strong margin profile and critical industry positioning.

DRAM bit supply share to reach c.10% by 2028E; shifting to AI/DC memory

We expect CXMT's DRAM capacity to reach 466k wpm by end-2028E from 240k wpm in 2025. Compared to some of the more bullish market expectations, we skew more toward assessing its realisable expansion rate based on what can realistically be achieved operationally. This leads us to forecast bit shipments to record a 40% CAGR in 2025-28 to 58bn GB in 2028, or c.10% of industry bit supply in 2028E (vs. 7% global market share in 2025). We also believe CXMT's data centre applications (for AI/traditional servers and HBM) will be a revenue driver. We expect this to be supported by: 1) [the government's Rmb2trn AI capex plan](#); 2) rising AI capex at Chinese Cloud Service Providers (CSPs), including ByteDance and Tencent; 3) higher memory content due to AI infra investment; and 4) CXMT's potential progress in HBM (we assume HBM to account for 2% of total bit shipments in 2028E, increasing to 7% in 2030E).

EBIT margin to remain high vs. sector historical levels

We forecast CXMT's EBIT margin at 75%/85%/85% in 2026/27/28E, driven by favourable supply/demand and an improving product mix. Beyond 2028E, although we still view memory as a cyclical industry, we expect much better downside protection for DRAM contract pricing due to rapidly growing AI related demand and global companies' long-term agreements (LTA) with key customers. We forecast 74%/68% EBIT margins in 2029/30.

Valuation: price target of Rmb70.00

Our PT is based on 8.6x 2027E P/BV (37% average ROE in 2028-30E and 8.5% COE). Our target P/BV multiple is at 40% premium to the average 2027E P/BV of 6.1x for major domestic foundry peers on a c9% average ROE in 2028-30E.

Highlights (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	9,087	24,178	61,799	307,464	659,221	860,049	584,452	582,056
EBIT (UBS)	(19,028)	(8,488)	7,667	230,848	558,342	731,953	431,265	398,140
Net earnings (UBS)	(16,340)	(7,145)	1,875	139,739	332,844	428,239	258,439	235,765
EPS (UBS, diluted) (Rmb)	(0.30)	(0.13)	0.03	2.20	4.98	6.40	3.86	3.53
DPS (net) (Rmb)	0.00	0.00	0.00	0.66	1.49	2.24	1.55	1.41
Net (debt) / cash	(69,766)	(86,390)	(73,840)	142,752	473,617	928,736	1,096,137	1,282,455
Profitability/valuation	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
EBIT (UBS) margin %	(209.4)	(35.1)	12.4	75.1	84.7	85.1	73.8	68.4
ROIC (EBIT) %	(16.1)	(5.2)	3.7	91.5	169.2	174.0	89.2	75.7
EV/EBITDA (UBS core) x	-	-	-	13.8	5.8	4.2	6.2	6.3
P/E (UBS, diluted) x	-	-	-	23.9	10.5	8.2	13.6	14.9
Equity FCF (UBS) yield %	-	-	-	4.5	12.0	17.2	10.5	9.7
Dividend yield (net) %	-	-	-	1.3	2.8	4.3	2.9	2.7

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of Rmb 52.48 on 07-Aug-2026

Equities

China
Semiconductors

12-month rating **Buy**
Prior : No Rating

12m price target **Rmb70.00**

Prior :

Price (06 Aug 2026) **Rmb51.96**

RIC: 688825.SS BBG: 688825.CH

Trading data and key metrics

52-wk range	Rmb55.00-47.00
Market cap.	Rmb3,475b/US\$515b
Shares o/s	66,881m (ORDA)
Free float	100%
Avg. daily volume ('000)	973,605
Avg. daily value (m)	Rmb49,983.4
Common s/h equity (12/26E)	Rmb254b
P/BV (12/26E)	13.7x
Net debt to EBITDA (12/26E)	NM

EPS (UBS, diluted) (Rmb)

	From	To	% ch	Cons.
12/26E	-	2.20	-	-
12/27E	-	4.98	-	-
12/28E	-	6.40	-	-

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UBS Research THESIS MAP a guide to our thinking and what's where in this report**PIVOTAL QUESTIONS****Q: Will CXMT record a revenue CAGR of above 100% in 2025-28?**

Yes. Based on a strong DRAM pricing tailwind up to at least Q228E and as CXMT catches up due to capacity expansion (wafer shipments to rise 25% over 2025-28E), we expect revenue to peak at Rmb860bn by 2028E from Rmb61.8bn in 2025, implying a 141% CAGR.

Q: Will CXMT continue to gain market share in server/AI infra applications in China?

Yes. We expect CXMT's bit shipments for server and HBM related applications to reach 29.5bn Gb in 2028E from 4.9bn Gb in 2025, due to: 1) tight supply for server applications; 2) maturing technology for server/AI related applications; and 3) China's pursuit of localisation. Our bit shipment forecast implies CXMT's market share in China reaches c20% in 2028E, up 7ppt from 12% in 2025.

Q: Will CXMT deliver an over 70% EBIT margin in 2026-28?

Yes. We forecast CXMT to deliver strong EBIT margins of 75%/85%/85% in 2026/27/28 (vs. 12% in 2025), based on: 1) the strong DRAM pricing tailwind (a 75% CAGR over 2025-28E); 2) CXMT's product mix upgrades for server DRAM; and 3) improving operating leverage.

UBSVIEW

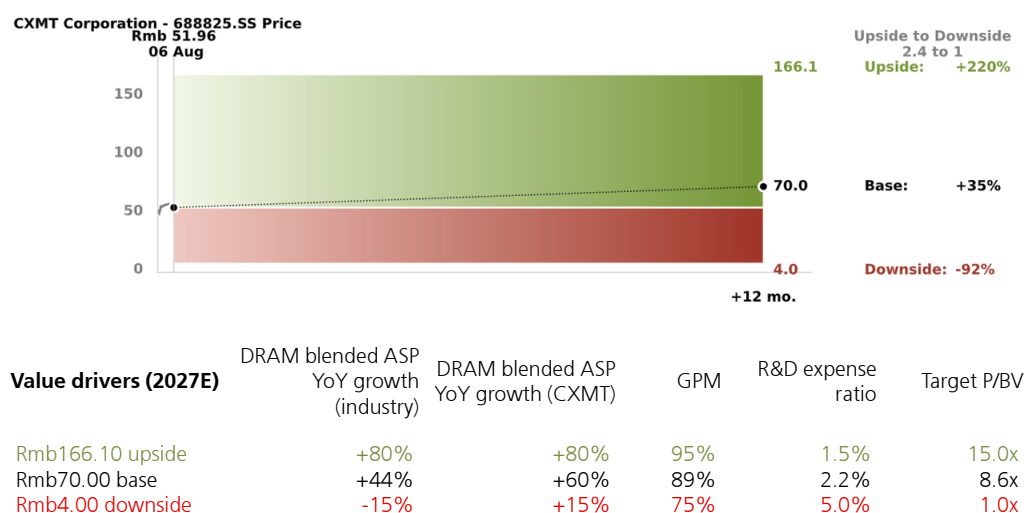
We view CXMT as the major beneficiary of both the global memory supercycle and China's DRAM localisation trend. We forecast the company to sustain strong EBIT margins of 75-85% in 2026-28 and deliver a 75% earnings CAGR over 2026-28E, underpinned by three key pillars: 1) the strong global DRAM pricing tailwind, especially for commodity DRAM in which CXMT generates the majority of revenue; 2) CXMT's proactive volume growth amid China's pursuit of self-sufficiency in both conventional DRAM and HBM; and 3) improving operating leverage from strong revenue growth momentum. Trading at 6.4x 2027E P/BV on a 60-90% 2026-28E ROE (vs. A-share foundry peers at an average 6x 2027E P/BV on a 4% ROE), we believe CXMT's valuation is attractive. We initiate coverage with a Buy rating and a price target of Rmb70.00.

EVIDENCE

1) Gartner data show server demand has become the dominant driver of DRAM, and UBS forecasts hyperscaler server shipments to record a 22% of CAGR in 2025-27 (vs. a 6% CAGR over 2022-24). 2) We forecast CXMT's wafer shipments to record a 25% CAGR in 2025-28 and bit shipments a 40% CAGR in the same period. 3) Newsflow indicates a domestic CSP has signed long-term procurement agreement for DRAM products with CXMT. 4) Our industry supply chain checks suggest China AI accelerator companies are willing to cooperate with CXMT to localise HBM supply.

WHAT'S PRICED IN?

CXMT trades at 6.4x 2027E P/BV on a strong ROE of 83% in 2027E, which we think is attractive compared with the A-share foundry peer average 6x 2027E P/BV on a 4% of ROE in 2027E. Compared with China memory related stocks (mainly memory module and niche memory suppliers) that are also subject to memory pricing cyclicality, CXMT trades roughly at par with China memory related stocks' average of 6.0x/5.0x P/BV in 2027/28E on a ROE of 26%/21% in 2027-28E, despite much better ROE and competitive landscapes.

UPSIDE/DOWNSIDE SPECTRUM

Source: UBS-S estimates

COMPANY DESCRIPTION

ChangXin Memory Technologies (CXMT) is China's largest and most advanced integrated DRAM manufacturer, with comprehensive capabilities spanning R&D, design, and production.

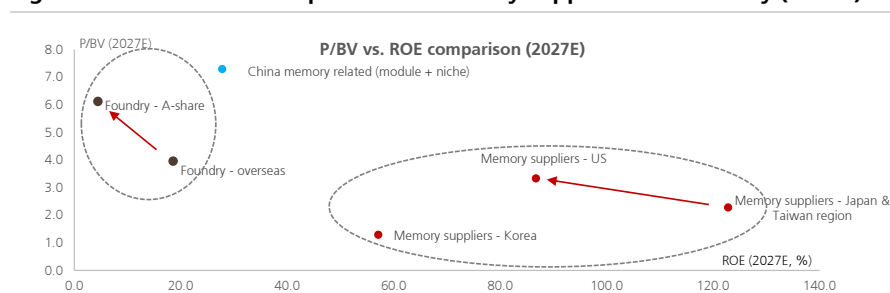
CXMT snapshot

Figure 1: CXMT comparison with the top three DRAM suppliers



Source: Company data, Gartner, Reuters, Wind, UBS estimates, UBS-S estimates. Note: Market share is calculated based on bit supply in 2025. Above data as of 6 August 2026. Micron's fiscal year ends in August - data adjusted to calendar year

Figure 2: P/BV vs. ROE comparison of memory suppliers and foundry (2027E)



Source: Wind, Reuters, UBS estimates, UBS-S estimates. Note: Above data as of 6 August 2026

Our analysis indicates: 1) A-share foundries trade at a premium to overseas foundries; and 2) US memory companies trade at a premium to Japan/Taiwan region memory, despite a lower ROE

PIVOTAL QUESTIONS

Q: Will CXMT record a revenue CAGR of 100% in 2025-28?

VIEW

Yes. Based on a strong DRAM pricing tailwind up to at least Q228E and as CXMT catches up due to capacity expansion (wafer shipments to rise 25% over 2025-28E), we expect revenue to peak at Rmb860bn by 2028E from 61.8bn in 2025, implying a 141% CAGR.

EVIDENCE

1) UBS forecasts global DRAM undersupply to last until Q228 due to rapidly growing demand driven by AI and capacity growth. UBS expects blended DRAM ASP to increase 238%/45% in 2026/27E.

2) CXMT is building four fabs (two each in Shanghai and Hefei), and is ramping capacity at the existing Hefei and Beijing fabs. We expect total capacity to reach 466k wpm by the end of 2028E from 240k at end-2025.

3) CXMT is pushing HBM3/3E mass production, while China's rising AI capex amid US export controls on HBM should boost domestic substitution. We forecast CXMT's bit shipment contribution from HBM to increase to 7% by 2030 from 0.4% in 2026E.

WHAT'S PRICED IN?

We think consensus is cautious about CXMT's revenue growth outlook. We expect CXMT's revenue to exceed Rmb860bn by 2028E as global DRAM undersupply persists until at least Q228E, and for CXMT to benefit from a strong pricing tailwind, while its volume growth should contribute to robust revenue growth.

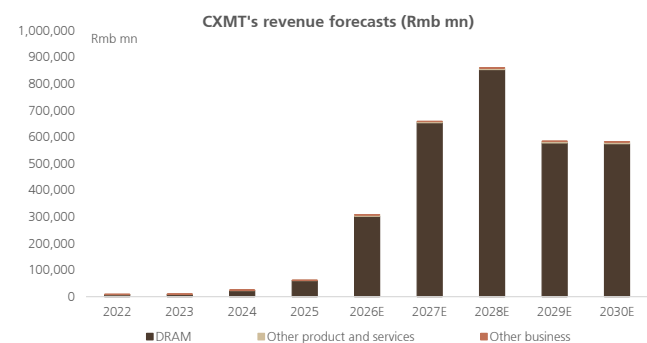
CXMT's revenue to exceed Rmb800bn by 2028E

As a pure memory supplier with the majority of revenue generated by DRAM products, we expect CXMT to benefit from the strong global DRAM pricing tailwind, as well as catching up in volume under China's policy of improving DRAM self-sufficiency.

UBS's Global Tech team expects the global DRAM upcycle to persist to at least Q228E. We estimate [CXMT's revenue](#) to peak at Rmb860bn in 2028 (implying a 141% CAGR in 2025-28E) based on [strong DRAM ASP growth](#) (a 75% CAGR in 2025-28E) and robust volume growth of 40% over 2025-28E.

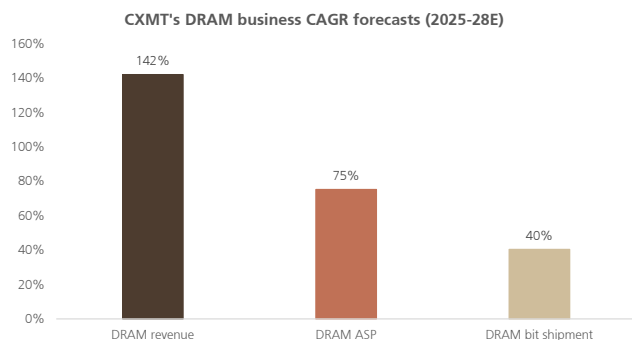
While we forecast CXMT's revenue to decline from 2029 as DRAM prices normalise amid supply catch-up, we expect CXMT's 2029-30E revenue to be above Rmb500bn, far above the 2022-24 level (the last down cycle) given: 1) better pricing under troughs from LTAs; 2) CXMT's improving product mix; and 3) CXMT's volume catching up.

Figure 3: CXMT's revenue forecasts



Source: Company data, UBS-S estimates

Figure 4: CXMT's DRAM forecasts



Source: Company data, UBS-S estimates

Figure 5: CXMT: key revenue assumptions

	2024	2025	2026E	2027E	2028E
DRAM revenue (Rmb m)	22,972	60,235	302,418	653,737	854,082
YoY		162.2%	402.1%	116.2%	30.6%
DRAM revenue (US\$ m)	3,226	8,433	44,473	96,138	125,600
YoY		161.4%	427.4%	116.2%	30.6%
DRAM capacity (k wpm, year-end)	205	240	292	382	466
YoY change (absolute volume)		35	52	90	85
Avg UTR	72%	86%	92%	89%	88%
Avg wafer out per month (wpm)	130	190	243	295	369
DRAM bit shipment - based on wafer out (1Gb eq)	12,470	21,151	33,948	46,637	62,842
YoY		69.6%	60.5%	37.4%	34.7%
Effective DRAM bit shipment (1Gb eq)	12,470	20,886	33,354	44,958	57,815
YoY		67.5%	59.7%	34.8%	28.6%
DRAM ASP (US\$/1Gb eq)	0.40	1.33	2.14	2.17	1.25
YoY		230.3%	60.4%	1.6%	-42.3%

Source: Company data, UBS-S estimates

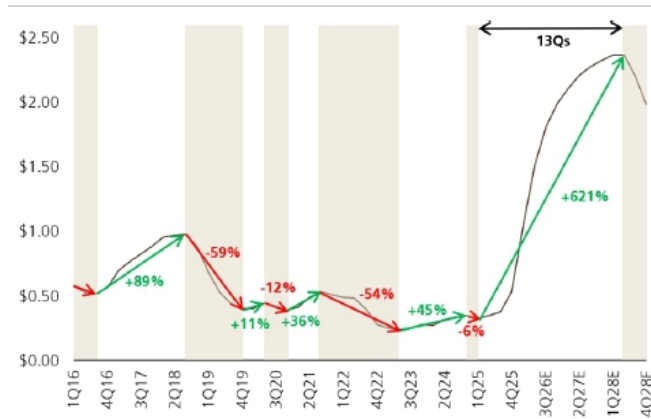
Global DRAM industry undersupply to persist to at least Q228E

[UBS's Global Tech team forecasts DRAM industry undersupply to persist to at least Q228](#), based on: 1) strong server demand growth from the increase in DRAM content and robust hyperscaler server demand; and 2) supply constraints due to floor space, equipment lead times and the stress for equipment installation teams.

Due to a strong 30% demand CAGR in 2025-27E and with insufficient supply to close the gap, UBS forecasts DDR ASP to rise from US\$0.40/Gb to US\$1.61/2.24/Gb in 2026/27, and for HBM ASP to increase from US\$1.52/Gb in 2025 to US\$1.74/3.13/Gb in 2026/27E.

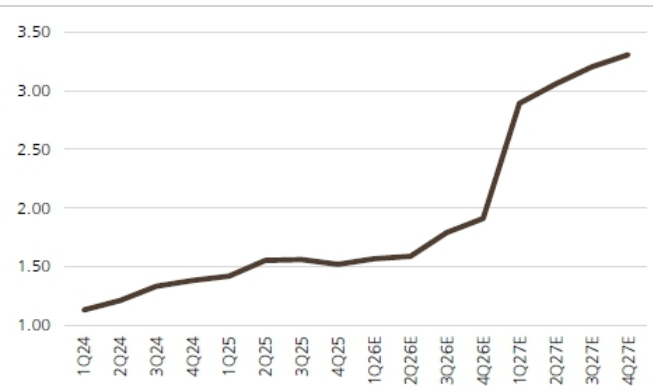
We flag the risk of memory affordability: we forecast global memory semis revenue to reach US\$1.6trn+ in 2027. Of this, we estimate >50% would be consumed directly or indirectly (via AI accelerators effectively reselling memory). This implies that YoY memory consumption could increase to over US\$550bn for hyperscalers, and that hyperscalers will remain dependent on the capital markets to bridge the gap between capex and operating cash flow (OCF).

Figure 6: DDR price forecasts (US\$/1Gb)



Source: Company data, UBS estimates

Figure 7: HBM price forecasts (US\$/1Gb)



Source: Company data, UBS estimates

CXMT the domestic DRAM champion with a volume catch-up opportunity

CXMT is the only listed DRAM supplier in China, and succeeded in [doubling IPO proceeds from Rmb29.5bn to Rmb57.9bn](#) to fund capacity expansion and upgrades. Although the company faces constraints from US export controls on critical equipment and the bottleneck of migrating to more advanced process nodes compared with the top three DRAM suppliers, we expect global DRAM supply tightness to provide CXMT an opportunity to catch up with global peers in volume terms, and forecast CXMT's DRAM bit supply to record a 40% CAGR over 2025-28.

We forecast CXMT to add 52/90/85k wpm capacity by 2026/27/28

After factoring in lead time and the state of readiness of equipment and engineers, we forecast CXMT to add 52k wpm in designed capacity by the end of 2026, mainly at the Hefei and Beijing fabs, followed by 90k/85k wpm additional designed capacity in 2027/28E at the Beijing and the new Shanghai and Hefei fabs.

Our assumptions reference litho imports in the major provinces where CXMT operates. Anhui recorded high litho imports in 2023-24, but imports have declined sharply since 2025. Litho imports in Beijing and Shanghai have been trending up since 2024, partly due to expansion at other foundries, but our industry supply chain checks with local semi equipment suppliers suggest that CXMT's capacity expansion could also be contributing to increasing litho imports in Beijing and Shanghai.

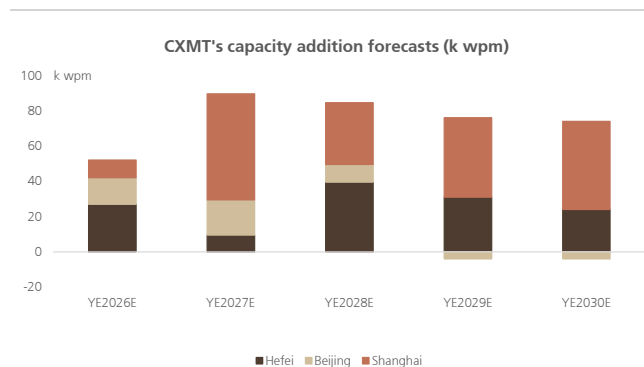
Figure 8: CXMT's total capacity to reach 466k wpm in YE2028E

Fab (unit:k wpm)	Designed capacity	2024	2025	2026E	2027E	2028E
Hefei - phase 1	120	110	119	115	107	99
Hefei - phase 2	100	41	59	89	100	99
Beijing - phase 1	100	35	55	64	83	100
Beijing - phase 2	100	-	-	-	-	-
Shanghai- fab 1	100	-	-	3	45	83
Shanghai- fab 2	100	-	-	-	-	-
Hefei - phase 3	100	-	-	-	7	48
Hefei - phase 4	100	-	-	-	-	-
New fabs	-	-	-	-	-	-
Total 12" DRAM wafer capacity - year end (k wpm)		205	240	292	382	466
YoY (absolute capacity addition)		45	35	52	90	85
Total 12" DRAM wafer capacity - average (k wpm)		186	233	271	341	430
YoY (absolute capacity addition)		43	46	38	71	89

Source: Company data, UBS-S estimates

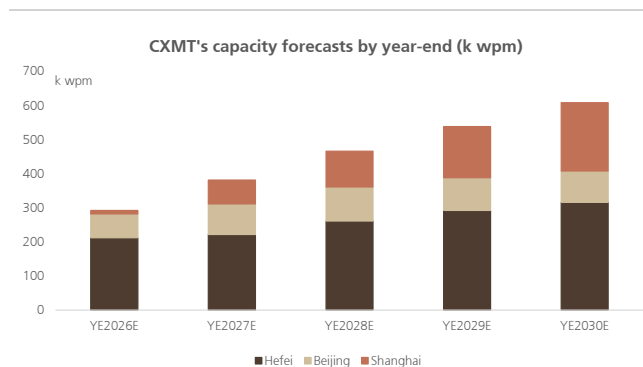
Due to technology migration and yield loss, from a wafer output perspective we forecast CXMT to add 53/52/73k wpm of capacity in 2026/27/28.

Figure 9: CXMT's designed capacity addition forecasts



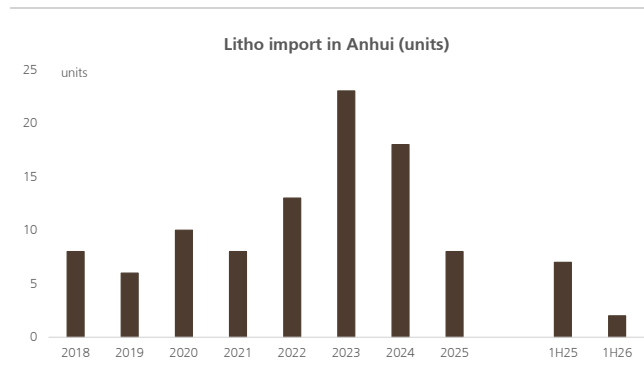
Source: Company data, UBS-S estimates

Figure 10: CXMT's DRAM designed year-end capacity forecasts



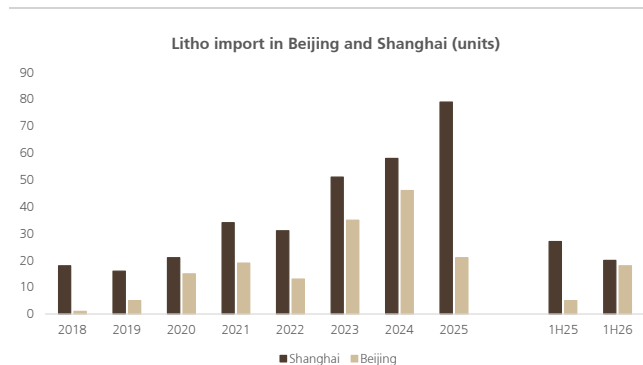
Source: Company data, UBS-S estimates

Figure 11: Litho imports in Anhui



Source: China Customs

Figure 12: Litho imports in Beijing and Shanghai



Source: China Customs

We forecast CXMT's DRAM bit supply to grow 40% in 2025-28

CXMT has been the domestic pioneer in migrating from G1-G3 to G4 (or 1Z equivalent) process node, in our view. The [DRAM scaling trend](#) suggests that by reducing the feature sizes of memory cells on each die in each generation, density increases and achieves [higher bits per wafer](#) and lower cost per bit.

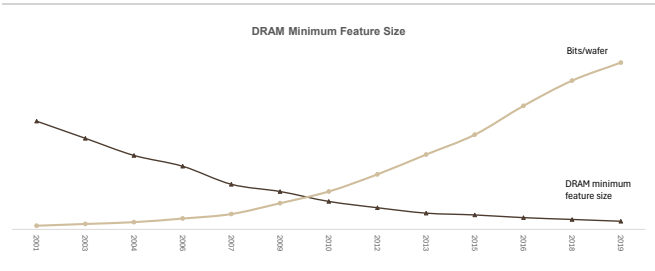
Based on our understanding of CXMT's technological readiness and wafer output progress, we forecast DRAM bit shipments to record a 40% CAGR over 2025-28 (vs. a 25% wafer output CAGR in the same period), considering the improving G4/G5 contribution and yield loss in process migration.

Figure 13: DRAM process tech roadmap

	2022				2023				2024				2025				2026E				2027E				2028E				2029E				2030E							
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q								
Samsung	1a								1b								1c				1d				0a				0b											
SK Hynix	1a								1b								1c				1d				0a				0b											
Micron	1α								1β								1γ				1δ				1ε				0a											
CXMT	G1				G2				G3								G4 (≈1z)				G5 (≈1a)				Further process transition is subject to DUV/EUV availability															

Source: Company data, UBS estimates, UBS-S estimates

Figure 14: DRAM scaling trend



Source: Micron, UBS-S

Figure 15: Bit/wafer comparison across different process nodes

Item	Formula	1X	1Y	1Z	1a	1b	1c
Wafer diameter (mm)	D	300	300	300	300	300	300
Wafer area (mm ²)	S=π x (D/2) ²	70,686	70,686	70,686	70,686	70,686	70,686
Die size (mm ²)	d	80	70	60	50	45	40
Gross dies	G=S/d	884	1,010	1,178	1,414	1,571	1,767
Edge correction	E=π x D / (2d) ^{1/2}	75	80	86	94	99	105
DPW (Die Per Wafer, dies)	DPW=π(D/2) ² /A	809	930	1,092	1,319	1,471	1,662
Yield (%)	Y	90%	90%	90%	90%	90%	90%
Good dies (dies)	GD=DPW x Y	728	837	983	1,188	1,324	1,496
DRAM bits produced vs. 1Z	GD x 16	11,651	13,394	15,726	19,000	21,189	23,930
		-26%	-15%	0%	21%	35%	52%

Source: Company data, UBS estimates Note: Above calculation is a theoretical analysis

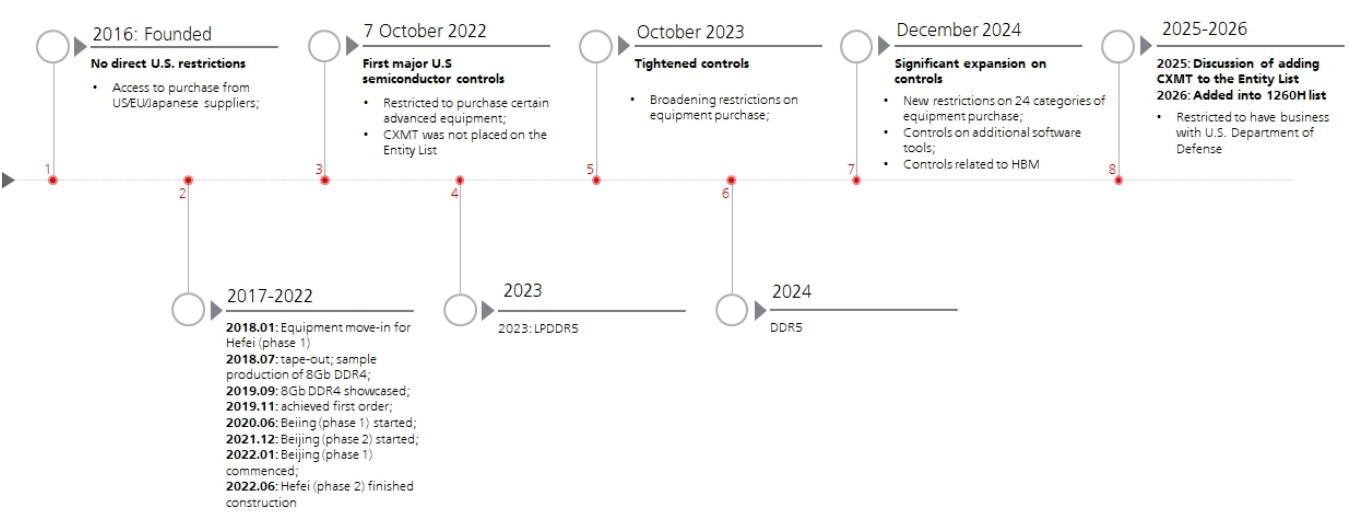
However, despite notable improvements in technology, we flag increasing fabrication and design challenges for CXMT when migrating to more advanced process nodes, with EUV litho [export constraints](#) remaining a major bottleneck for CXMT considering the increasing EUV layers per node during migration.

The top three DRAM suppliers are migrating to [1c/1-gamma node](#), while CXMT does not have access to EUV litho (as imports to China are restricted under the Wassenaar Arrangement). This could lead to extensive use of ArF immersion multiple patterning for critical layers, adding to the production yield challenges. This would be in addition to limits in support for the equipment installed base for US tool vendors, which may be detrimental to yields.

Offsetting factors over time could be the learning curve, equipment localisation and use of AI predictive models for process flow optimisation.

We therefore forecast CXMT's bit shipment growth to slow from a 40% CAGR over 2026-28 to 16% over 2028-30E to reflect a slower bit per wafer improvement beyond G5.

Figure 16: Export controls and CXMT's capacity expansion



Source: Company data, UBS-S

Figure 17: Top three DRAM supplier progress in migrating to 1c node

SK Hynix	Samsung	Micron
1b ✓ Entered industry's first compatibility validation process for 1b DDR server DRAM in 2023 1c Developed industry's first 1c DDR5 in 2024 Mass production started for LPDDR6, SOCAMM2 etc.	1b ✓ 16Gb DDR5: Announced mass production in May 2023 ✓ 32Gb DDR5: Announced successful development in Sep. 2023 1c DRAM yields reportedly reached up to 70% by June 2025	1b/1-beta ✓ HBM4: High-volume shipment for lead customers' platform, and qualification samples shipped to multiple end-customers 1c/1-gamma HBM4E: Volume production expected in CY2027; 256GB DDR5 RDRAMs: shipped to key server ecosystem enablers; 16Gb LPDDR5X: begun high-volume ramp at a leading smartphone OEM

Source: Company data, Reuters

Based on newsflow, DRAM leaders have made notable progress in migrating to 1c node

PIVOTAL QUESTIONS

Q: Will CXMT continue to gain market share in server/AI Infra applications in China?

VIEW

Yes. We expect CXMT's bit shipments for server and HBM related applications to reach 29.5bn Gb in 2028E from 4.9bn Gb in 2025, due to: 1) tight supply for server applications; 2) maturing technology for server/AI related applications; and 3) China's pursuit of localisation. Our bit shipment forecast implies CXMT's market share in China reaches c20% in 2028E, up 7ppt from 12% in 2025.

EVIDENCE

1) CXMT's DRAM product portfolio is catching up with global suppliers with DDR chips achieving speeds up to 8000Mbps and feature die capacities of 16Gb/24Gb, and LPDDR5X achieving global mainstream performances of 10667Mbps and feature die capacities of 12Gb/16Gb.

2) Newsflow indicates that CXMT's server DRAM products have been adopted by China CSPs, including ByteDance, Alibaba and Tencent.

3) At its Q126 results briefing, Transsion noted that increasing smartphone DRAM is being procured from CXMT.

4) CXMT's IPO share allocation list includes 18 domestic supply chain companies, spanning upstream equipment and raw material suppliers, OSAT and fabless companies, and downstream customers (including CSPs, smartphone, auto and panel companies).

5) CXMT is one of only a few domestic DRAM suppliers with HBM know-how with HBM3/3E.

6) Our industry supply chain checks suggest China AI accelerators are willing to localise the supply chain from foundry partners to HBM suppliers.

WHAT'S PRICED IN?

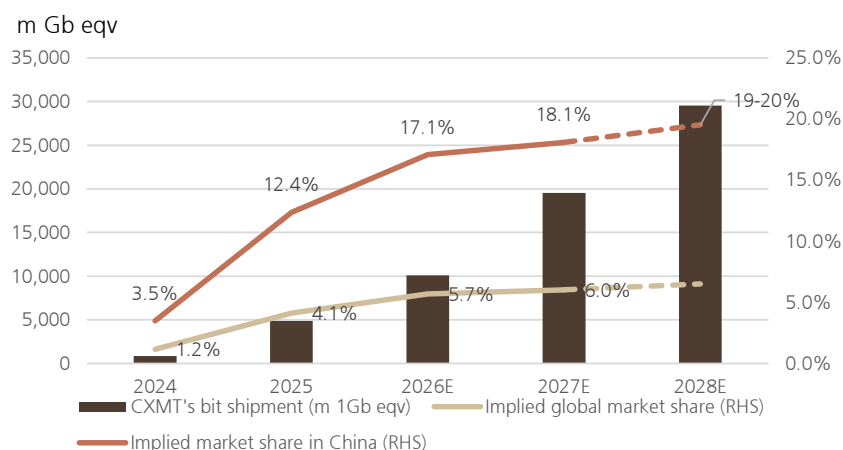
We think consensus is overly focussed on global DRAM pricing, while overlooking CXMT's localisation opportunity for both conventional DRAM and HBM during global DRAM supply tightness. Although CXMT's progress in HBM lags global leaders, we believe the company is best positioned among domestic DRAM suppliers to make a breakthrough in HBM in terms of technology know-how and capital, which could be underestimated by consensus.

We believe CXMT is best positioned to lead China's DRAM localisation

China has been pursuing self-sufficiency for its semiconductor industry, and we believe CXMT is best positioned to lead DRAM localisation as it is the only scaled domestic DRAM supplier with the capability in technology and capital to migrate to more advanced process nodes. During global DRAM supply tightness, we think the company should be able to penetrate more customers and build a localised DRAM supply chain ecosystem along with growing localisation demand for conventional DRAM and HBM.

We estimate CXMT's server related DRAM bit shipments to reach 29.5bn Gb in 2028 from 4.9bn Gb in 2025, implying a CAGR of 82% in that period. Our bit shipment forecast implies CXMT's market share reaches c20% in 2028E, up 7ppt from 12% in 2025.

Figure 18: CXMT's bit shipments for server applications and market share



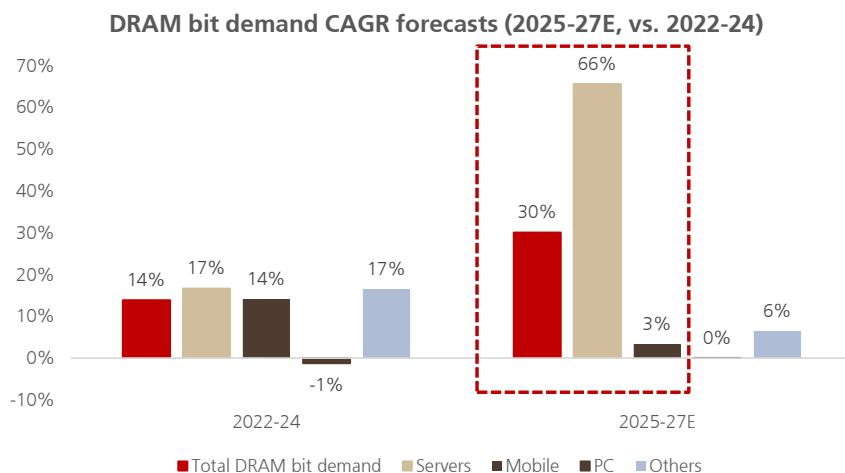
Source: Gartner, UBS-S estimates. Note: We assume China accounts for 30% of global DRAM bit demand for servers

Tight DRAM supply likely to persist up to 2028E

As have highlighted, UBS forecasts the undersupply of DRAM will last up to at least Q2'28 due to stronger demand growth from AI infra applications. According to UBS's global DRAM demand model, server bit demand would grow 66% in 2025-27E vs. 30% overall demand growth in the same period.

Figure 19: Global DRAM demand growth to accelerate to 30% in 2025-27E (vs. 14% in 2022-24)

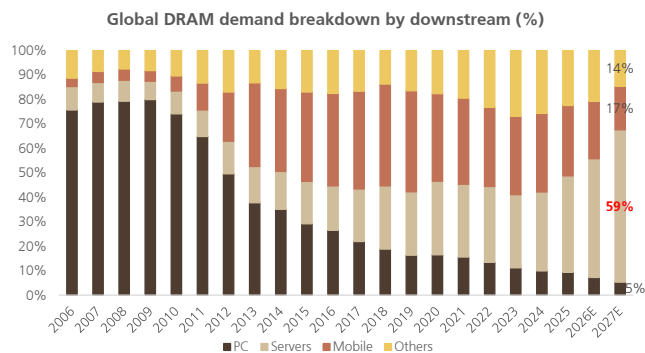
We expect the DRAM upcycle to be mainly driven by strong server demand (a 66% CAGR over 2025-27E)



Source: Gartner, UBS estimates

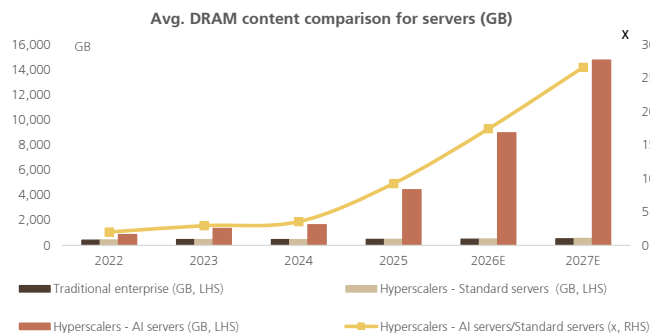
- AI driving a structural uplift in DRAM content per server.** Compared with traditional general purpose servers, AI servers require substantially higher memory capacity and bandwidth to efficiently serve increasingly powerful AI accelerators, mitigating memory bottlenecks during LLM training and inference. As AI clusters continue to scale in both GPU count and model complexity, UBS's Global Tech team forecasts [DRAM content per AI server](#) to be 27x that of standard servers for hyperscalers (vs. 2x in 2022).

Figure 20: Servers becoming the key driver of DRAM demand



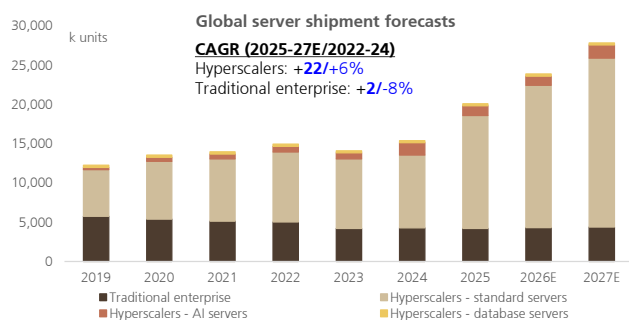
Source: Gartner, Company data, UBS estimates

Figure 21: Significant DRAM content uplift for AI servers vs. standard servers



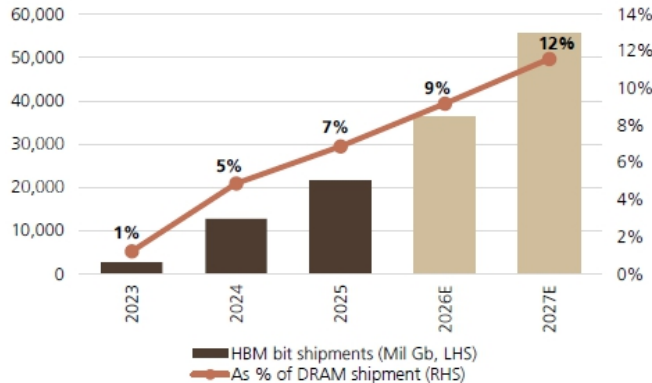
Source: Gartner, UBS estimates

Figure 22: We are constructive on global hyperscalers' server demand



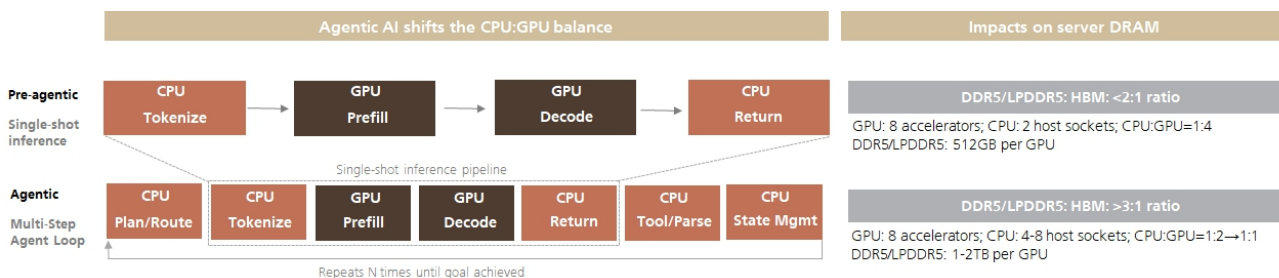
Source: Gartner, Company data, UBS estimates

Figure 23: Global HBM bit shipments



Source: Company data, UBS estimates

Figure 24: Agentic AI shifting the CPU/GPU balance



Source: Gartner, UBS

CXMT's DRAM technology is preparing for CSP/server customers

- CXMT is catching up in its DRAM product portfolio.** While Samsung Electronics, SK Hynix and Micron offer broader portfolios and higher densities, we expect CXMT to be the domestic DRAM pioneer and catch up with the top three global DRAM suppliers as the company has made progress in JEDEC with [its DDR5 chips](#) achieving speeds up to 8000Mbps and feature die capacities of 16Gb/24Gb, along with [LPDDR5X](#) achieving global mainstream performance with 12Gb/16Gb die capacity and top-tier 10667Mbps speed.

Figure 25: CXMT's product portfolio vs. top three DRAM suppliers

Product	CXMT	Samsung	SK Hynix	Micron
DDR4	✓	✓	✓	✓
DDR5	✓	✓	✓	✓
LPDDR4X	✓	✓	✓	✓
LPDDR5	✓	✓	✓	✓
LPDDR5X	✓	✓	✓	✓
HBM	Ramped HBM3/3E	Shipped HBM4E 12-hi (29 May 2026)	Sampled HBM4E 12-hi (18 June 2026)	High-volume production of HBM4 12-hi

Source: Company data, Reuters, Wind

Figure 26: DRAM comparison between CXMT and major overseas peers

Product	Maximum die density (Gb)				Capacity (GB)				Maximum speed (MT/s)			
	CXMT	Samsung	SK Hynix	Micron	CXMT	Samsung	SK Hynix	Micron	CXMT	Samsung	SK Hynix	Micron
DDR5	16/24	16/24/32	24/32	16/24/32	8-64	Up to 128+	Up to 128+	Up to 128+	8000	8000-8800	8000-8800+	8000-9200
LPDDR5X	12/16	16/24/32	16/24/32	16/24/32	12/16/24	24+	24+	24+	10667	10667-12700	10667-12700	10667-12700

Source: Company data, UBS-S

- Penetrating overseas customers showcases CXMT's technology capability.**

Based on newsflow, we note progress in adoption or the potential adoption of CXMT's products by global customers including smartphone and module suppliers, and PC OEMs. Although only some of CXMT's products have been adopted in the mainland China market, we believe this showcases CXMT's capability among domestic peers.

China's pursuit of domestic substitution

- China is pursuing self-reliance in the semiconductor space.** The Chinese government identified semiconductors as a strategic priority in 15th Five-Year Plan (2026-30), and targets self-reliance in the semiconductor space. In 2023, Micron's products failed China's network security review, which prevents the products being used in critical domestic information infrastructure. We note CXMT's products have increased penetration of domestic customers across the downstream. Our [China supply chain checks](#) also suggest CXMT is increasingly securing more orders by domestic customers, including CSPs, smartphone OEMs and PCs.

Figure 27: China supply chain check on CXMT's product adoption

Date	Company	Product	Progress with CXMT	Details	Source
24-Jul-26	ByteDance	DRAM	US\$7bn+	CXMT has signed US\$7bn+ deal with ByteDance, source say	Reuters
29-Jun-26	Tencent	Server DRAM	Rmb20bn+ long term supply agreement	CXMT signed long-term supply agreement with Tencent worth more than Rmb20bn, covering several years of DRAM chip supply for servers	Reuters
27-May-26	Alibaba	Server DRAM	CXMT's customer	Direct customer	CXMT prospectus
27-May-26	ByteDance	Server DRAM	CXMT's customer	Direct customer	CXMT prospectus
27-May-26	Lenovo	PC DRAM	CXMT's customer	Direct customer	CXMT prospectus
28-Apr-26	Transsion	Smartphone DRAM	Over 50% DRAM supplied by CXMT	Transsion was the first smartphone maker who partnership with CXMT; Currently over 50% of DRAM is procured from CXMT	1Q26 results briefing

Source: Company data, UBS-S, Reuters

Figure 28: Newsflow on China's pursuit of domestic substitution

Date	Details	Source
May-2023	China fails Micron's products in security review, bars some purchases: China's cyberspace regulator said MU had failed its network security review and it would bar operators of key infrastructure from buying from the company. The decision could include sectors ranging from telecoms to transport and finance, according to China's broad definition of critical information infrastructure.	Reuters
Mar-2026	15th Five Year Plan pushes technological self-reliance Significant improvement of scientific and technological self-reliance and advancement; promote decisive core technology breakthroughs in semi supply chain	Reuters
Apr-2024	China orders telecom carriers to replace foreign chips by 2027	Financial Times
Mar-2026	China aims to boost semiconductor self-sufficiency to 80% by 2030	Nikkei Asia

Source: Reuters, Financial Times, Nikkei Asia

- **CXMT is enhancing its domestic DRAM ecosystem.** We believe CXMT's IPO allocation list provides an important read-through of its industry partnerships. Among the list, 18 supply chain companies were granted Rmb2.8bn of IPO shares (Rmb158m each with an 18 month lock-up period, and 36 months for Alibaba's Apsara Stack), spanning upstream equipment and materials suppliers, OSAT and fabless companies, and downstream customers from smartphones, EV, ODMs, CSP and telecoms.

Figure 29: CXMT IPO investor allocation list

Upstream	OSAT & fabless	Downstream
WFE ✓ AMEC (688012.SS) – AMEC Lingang: Etch ✓ Piotech (688072.SS): PECVD/ALD ✓ E-Town (688729.SS): Thermal processing/plasma ashing/wet cleaning equipment Materials • Anji (688019.SS): CMP • NSIG (688126.SS): Silicon wafer • TCL Tech (000100.SZ): Silicon wafer (under TCL Zhonghuan) • Xi'An Eswin (688783.SS): Silicon wafer	OSAT ✓ Tongfu (002156.SZ): DRAM packaging & testing Fabless • Montage (688008.SS/6809.HK): Memory interconnect chips	Smartphone & auto & panel ✓ Xiaomi (1810HK) – Yi Ba Yi Ling: smartphone, EV, etc. ✓ Transsion (688036.SS): smartphone ✓ NIO (9866.HK/NIO.N): EV ✓ Chery (9973.HK): EV ✓ Huaqin (603296.SS/3296.HK): ODM ✓ TCL Tech (000100.SZ): Panel CSP & telecom • Tencent (700.HK) – Shanghai Haoyu: CSP • Alibaba (9988.HK/BABA.N) – Apsara: CSP • Meituan (3690.HK) – Shenzhen Sankuai: CSP • ZTE (000063.SZ): Telecom

Source: Company data, UBS-S

Progress in HBM

CXMT is ramping up HBM3/3E mass production ahead of domestic competitors

As HBM is a critical product for accelerators and with export restrictions threatening to cut off HBM supply, we believe China has a strong need to push for higher HBM self-sufficiency. Based on our discussions with industry experts, CXMT is one of the few domestic suppliers with HBM know-how, and [a February 2026 news report](#) suggests that CXMT has started to ramp up HBM3 mass production to support Chinese AI chips, and our industry checks with experts suggest that CXMT could be the domestic pioneer of sampling HBM3e to domestic customers.

Strong demand for HBM self-sufficiency among domestic customers

During our [World Artificial Intelligence Conference \(WAIC\) 2026 Tech Tour in July](#), Chinese AI accelerator companies noted stronger demand from domestic customers (including CSPs) due to tight supply in China and domestic CSPs willingness to adopt domestic computing cards. Our discussions with domestic AI accelerator companies indicated that they are increasingly willing to localise supply chains, from partnering with local foundries to cooperating with CXMT on HBM R&D.

We conducted a [sensitivity analysis of CXMT's HBM opportunity](#) considering China's leading edge capacity, CXMT's process node constraints, yield constraints and HBM pricing volatility.

Figure 30: Domestic GPU specs for HBM based on newsflow

	NVIDIA	Huawei	Alibaba	MetaX
Product	GB300	Ascend 910C	PPU	Xiyun C600
Launch time	2025	2025 Q1	2025	2025
Process node	3nm	7nm		
Foundry supply	TSMC	N+1		
Computing power (FP16)	5PFLOPS	800TFLOPS	320TFLOPS	~500TFLOPS
Precision				
Memory Capacity	576GB	128GB	96GB	144GB
	HBM3e	HBM2e	HBM2e	HBM3e
Interconnect bandwidth	3.6TB/s	784GB/s	700GB/s	

Source: Company data, CCTV, UBS-S estimates

Figure 31: Sensitivity analysis of CXMT's HBM market share among domestic AI accelerators

China AI accelerator HBM demand				
China AI accelerator shipment (k units)	4,000	4,000	5,000	5,000
HBM content (GB)	96	144	96	144
AI HBM bit demand (mn, GB)	384	576	480	720
AI HBM bit demand (mn, Gb)	3,072	4,608	3,840	5,760
CXMT's HBM supply				
Process node	1Z	1Z	1a	1a
HBM capacity (kwpm)	30	30	60	60
Gross Dies per Wafer	8,836	8,836	9,390	9,390
Yield	10%	20%	10%	20%
Net Dies Out Annual (1Gb equiv. mil)	318	636	676	1,352
Implied domestic market share (%)	10%	14%	18%	23%
CXMT's HBM revenue opportunity (US\$mn)				
US\$1.30/Gb	414	827	879	1,758
US\$1.80/Gb	573	1,145	1,217	2,434
US\$2.60/Gb	827	1,654	1,758	3,515
CXMT's HBM revenue opportunity as of 2025 revenue (%)				
US\$1.30/Gb	5%	9%	10%	20%
US\$1.80/Gb	6%	13%	14%	27%
US\$2.60/Gb	9%	18%	20%	39%

Source: Company data, UBS-S estimates

PIVOTAL QUESTIONS

Q: Will CXMT deliver an over 70% EBIT margin in 2026-28?

UBSVIEW

Yes. We forecast CXMT to deliver strong EBIT margins of 75%/85%/85% in 2026/27/28 (vs. 12% in 2025), based on: 1) the strong DRAM pricing tailwind (a 75% CAGR over 2025-28E); 2) CXMT's product mix upgrades for server DRAM; and 3) improving operating leverage.

EVIDENCE

1) UBS's Global Tech team forecasts DRAM undersupply to drive DDR ASP from US \$0.40/Gb in 2025 to US\$1.61/2.24/Gb in 2026/27, implying a strong 137% CAGR over 2025-27E.

2) The team is positive on the HBM pricing outlook, and forecasts HBM ASP to rise from US\$1.52/Gb in 2025 to US\$1.74/3.13/Gb in 2026/27, implying a robust 43% CAGR over 2025-27E.

3) The majority of CXMT's revenue is generated by commodity DRAM, which has a stronger price hike momentum than HBM.

4) CXMT's server DRAM revenue contribution has improved from 2% in 2022 to 26% in 2025, while mobile device (smartphones, tablets) revenue accounted for a lower 59% in 2025 (vs. 68% in 2022).

5) With strong DRAM pricing/revenue momentum, we forecast CXMT's depreciation cost to account for only 6-10% of total revenue during 2026-28 (vs. 40-119% in 2022-25), suggesting depreciation cost would be a lower material drag on gross margin.

6) We forecast much stronger revenue growth vs. SG&A expense growth and improving operating leverage to drive EBIT margin expansion for CXMT.

WHAT'S PRICED IN?

We think consensus is overly cautious about CXMT's EBIT margin outlook due to commodity DRAM pricing cyclicality, CXMT's depreciation burden and aggressive personnel expansion, while not factoring in a strong DRAM pricing tailwind and CXMT's improving operating leverage.

Strong EBIT margin of over 70% in 2026-28E

While CXMT disclosed a strong Q126 operating margin of 70%, investors are concerned whether this will be sustained. We remain positive on CXMT's 2026-28E margin due to: 1) the strong ASP tailwind from a once-in-two-decade DRAM upcycle; 2) CXMT's volume catch-up potential amid the localisation opportunity from global DRAM supply tightness; and 3) improving operating leverage amid the scaling up of revenue. Accordingly, we forecast CXMT to deliver strong EBIT margins of 75%/85%/85% in 2026/27/28.

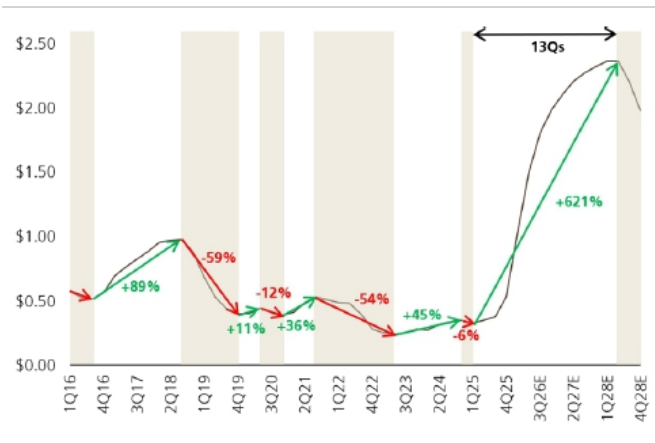
Strong ASP tailwind to materially improve CXMT's margin profile

As mentioned previously, we are constructive on the DRAM price outlook and expect the upcycle to extend to at least Q228E, and that the upcycle will not be disrupted by CXMT's capacity expansion. UBS's Global Tech team expects DRAM undersupply to drive DDR ASP from US\$0.40/Gb in 2025 to US\$1.61/2.24/Gb in 2026/27E, and HBM ASP to rise from US\$1.52/Gb in 2025 to US\$1.74/3.13/Gb in 2026/27E.

As the fourth largest DRAM supplier globally with mass production of products spanning the DDR series and LPDDR series, CXMT should be the major beneficiary of the

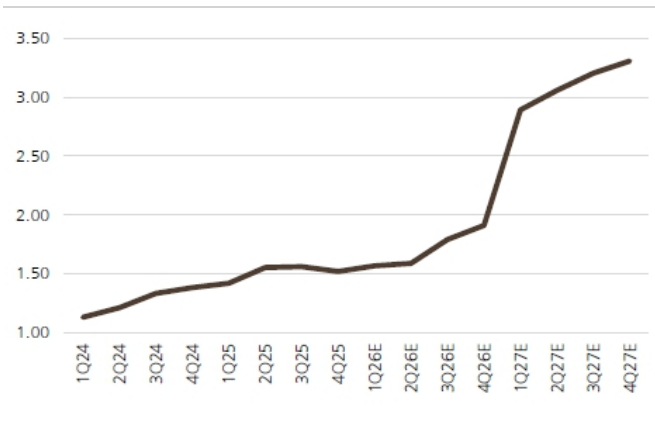
strong ASP tailwind, in our view. Our industry supply chain checks with leading smartphone makers suggest limited price discounts for CXMT's DRAM products vs. global peers.

Figure 32: DDR cycles in context



Source: Company data, UBS estimates

Figure 33: HBM ASP forecasts (US\$1Gb)



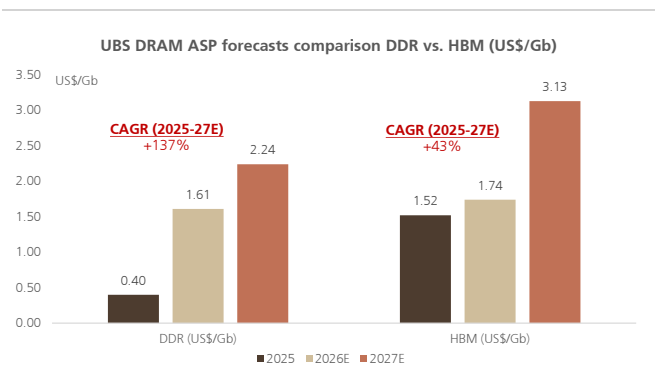
Source: Company data, UBS estimates

Stronger price hike momentum for commodity DRAM than HBM

We believe CXMT is at the early stage of ramping HBM although under export constraints. From a margin perspective, we view this as less of a concern as commodity DRAM has stronger price hike momentum than HBM, as the top three DRAM suppliers have reallocated resources to support HBM, which has resulted in stronger price hike momentum for DDR than HBM. UBS forecasts a strong 137% ASP CAGR over 2025-27 for DDR vs. 43% for HBM.

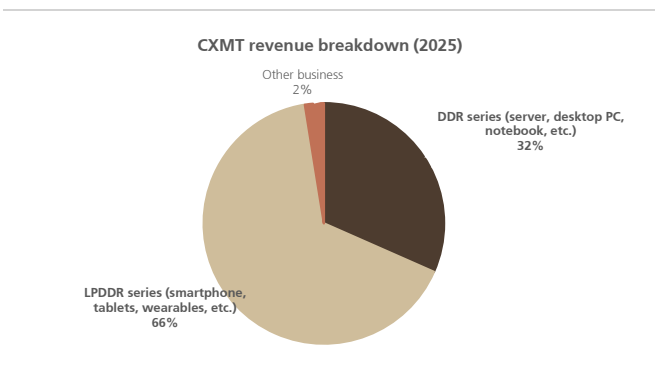
As the majority of CXMT's revenue is generated by commodity DRAM, we forecast CXMT's DRAM ASP to increase from US\$0.40/Gb in 2025 to US\$1.33/2.14/2.17/Gb in 2026/27/28, implying 75% CAGR over 2025-28E.

Figure 34: DDR ASP to record a 137% CAGR in 2025-27E (vs. 43% for HBM)



Source: Company data, UBS estimates

Figure 35: Majority of CXMT's revenue generated by DDR + LPDDR series



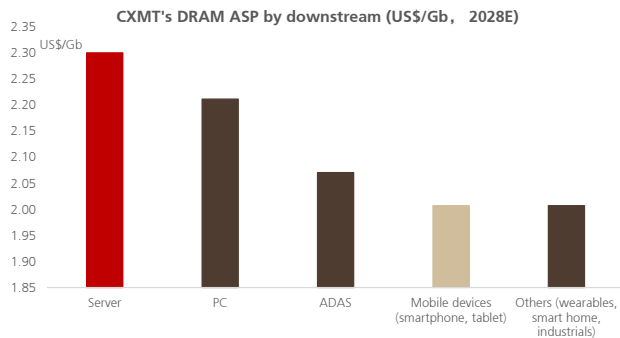
Source: Company data

Continued product mix upgrades

CXMT has made progress in diversifying downstream applications: smartphone device revenue contribution declined from 68% in 2022 to 59% in 2025, along with an improvement in server revenue contribution from 2% in 2022 to 26% in 2025.

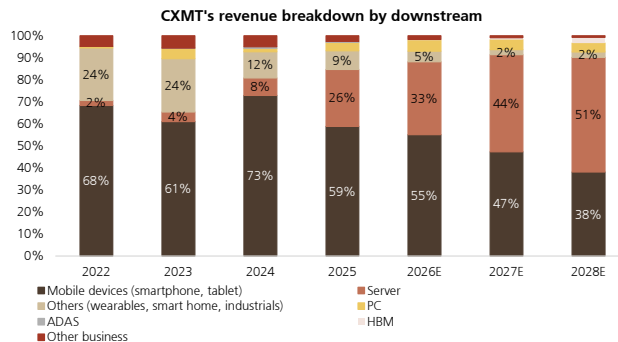
Based on a continued price premium for server DDR, together with global DRAM supply tightness and China's localisation trend, we expect CXMT's server revenue contribution to improve further and account for half of revenue by 2028E (vs. 38% for mobile devices).

Figure 36: We expect a price premium for server DDR vs. mobile devices...



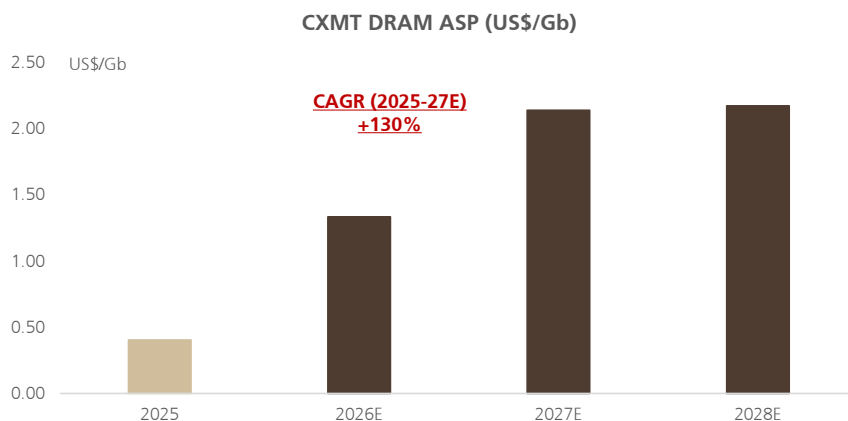
Source: Company data, UBS-S estimates

Figure 37: ...and account for a higher server revenue contribution to CXMT



Source: Company data, UBS-S estimates

Figure 38: CXMT's DRAM ASP forecasts



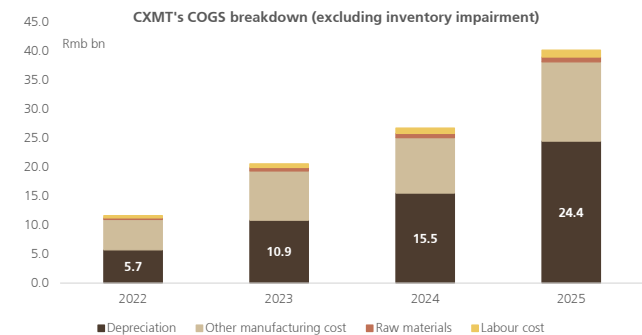
Source: Company data, UBS-S estimates

CXMT's DRAM ASP to record a 130% CAGR in 2025-27E on strong ASP tailwind, improving downstream mix and high commodity DRAM contribution

GPM above 80% in 2026-28E

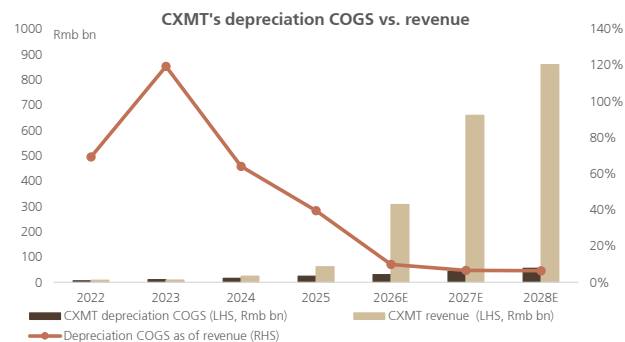
We expect CXMT to sustain GPMs of 82%/89%/89% in 2026/27/28E, based on the strong DRAM ASP tailwind. The strong price momentum implies depreciation costs would be less of a burden, contrary to some investor concerns that elevated depreciation costs will be the major drag on CXMT's margin. We forecast CXMT's depreciation in COGS to account for only 6-10% of revenue in 2026-28 (vs. 40-119% during 2022-25).

Figure 39: High depreciation cost the major drag on CXMT's GPM...



Source: Company data. Note: COGS breakdown is based on the main business, including DRAM and other products and businesses

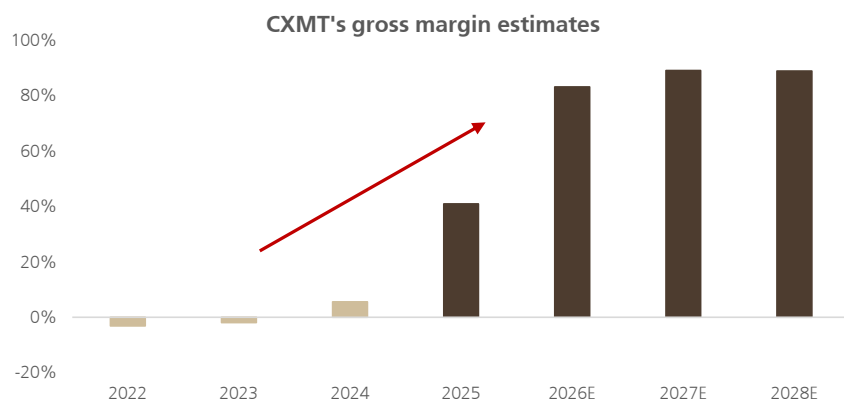
Figure 40: ...but concern is unwarranted with current strong revenue momentum



Source: Company data, UBS-S estimates

Figure 41: We are positive on CXMT's GPM outlook

We forecast CXMT's GPM at >80% in 2026-28E

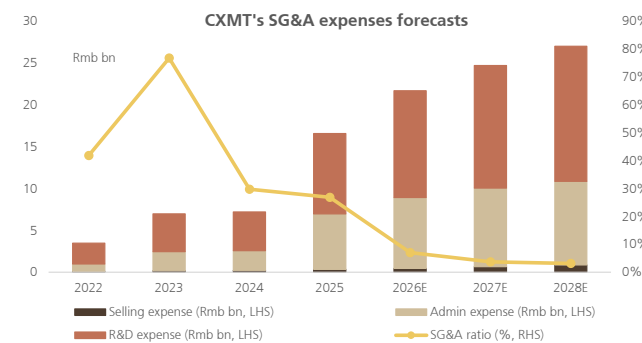


Source: Company data, UBS-S estimates

Improving operating leverage on revenue scale up

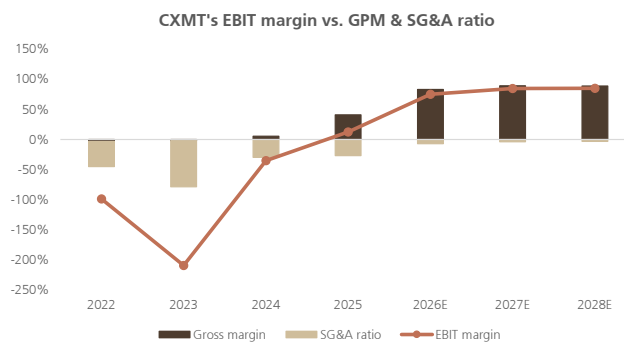
We expect CXMT to continue to hire personnel and invest in R&D talent to capture the opportunities of the global memory supercycle and localisation trend. We also expect operating leverage to improve, despite the expense expansion. We forecast SG&A ratio to decline and, together with GPM expansion, we forecast CXMT's EBIT margin to reach 75-85% in 2026-28.

Figure 42: We expect CXMT's SG&A ratio to decline...



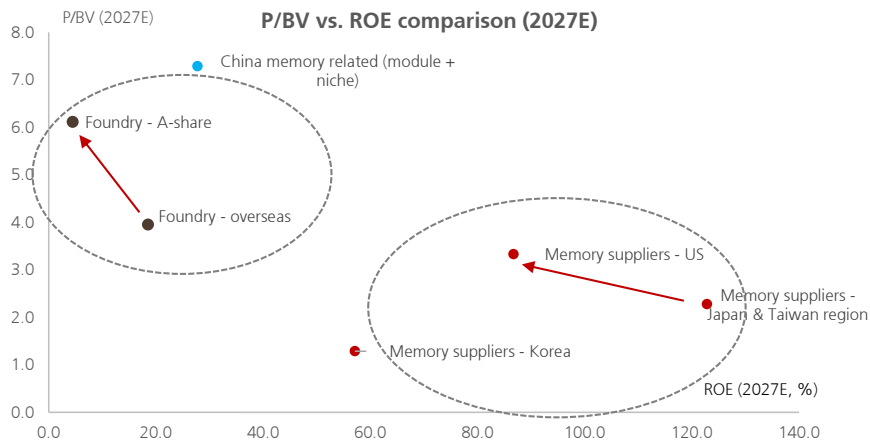
Source: Company data, UBS-S estimates

Figure 43: ...and EBIT margin to improve further



Source: Company data, UBS-S estimates

WHAT'S PRICED IN?



CXMT trades at 6.4x 2027E P/BV on an 83% ROE in 2027E, attractive vs. China foundry peer average of 6.1x 2027E P/BV on a 4% ROE

Source: Wind, Reuters, UBS-S estimates. Note: Above data as of 31 July 2026. For details of companies included, please refer to our comps table

CXMT a rare A-share market investment opportunity

Post IPO, CXMT's share price is up 5 times as of 6 August 2026 and we expect further upside based on: 1) the positive global memory cycle; 2) CXMT's unique characteristics in the A-share market as a rare pure-play memory asset with a significant global presence (fourth largest DRAM supplier globally by capacity); and 3) we expect CXMT to lead the DRAM localisation trend in current memory supercycle.

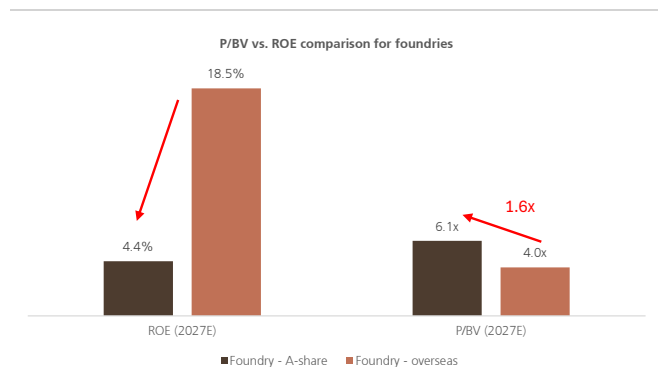
A-share market favours technology leaders

Memory is increasingly critical in the AI era, and CXMT is a rare pure memory supplier in China's stock market.

Our analysis of foundry valuations (both asset heavy business model as memory IDM) indicates that the A-share market tends to place a valuation premium on the few companies with leading technology:

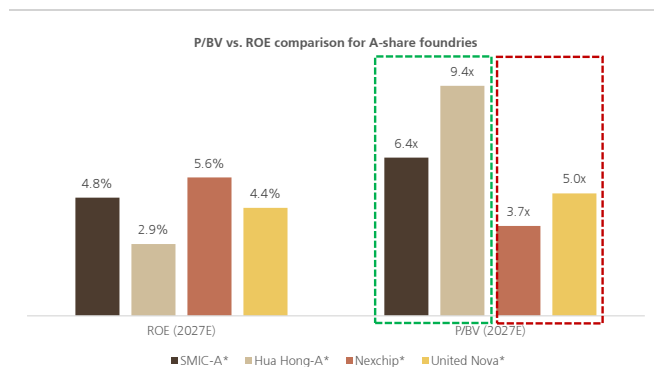
- A-share valuation premium based on the scarcity of quality tech companies.** We note a high valuation premium for A-share semi companies, especially those with technological capability and a global presence. We partly attribute the premium to the scarcity of high quality domestic tech companies compared to the global market. This is evidenced by A-share foundries trading at an average 2027E P/BV of 6x on an average 2027E ROE of 4.4%, while the global average is 4x 2027E P/BV on a much higher ROE of 18.5% in 2027E.
- Higher valuation for leading edge.** We expect A-share investors to have a higher risk appetite for leading edge vs. mature node, as evidenced by SMIC-A and Hua Hong-A trading at 6-9x 2027F P/BV based on Wind consensus (on a 3-5% 2027E ROE), while Nexchip and United Nova trade at 3-5x 2027E P/BV (on a 4-6% 2027E ROE).

Figure 45: Foundry valuation comparison: A-share vs. global



Source: Company data, Wind, UBS-S estimates. Note: Above data as of 6 August 2026; For details of companies included, please refer to our comps table

Figure 46: Foundry valuation comparison: leading edge vs. mature nodes



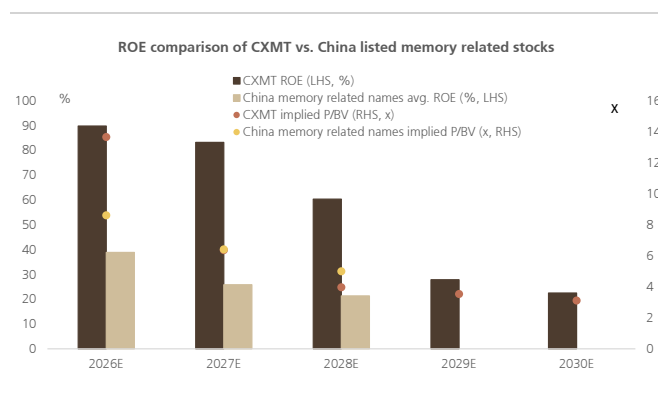
Source: Company data, Wind, UBS-S estimates. Note: Above data as of 6 August 2026; * uses Wind consensus estimates

CXMT attractively valued vs. China peers on a strong margin profile

Although investors remain concerned about commodity DRAM cyclicalities, we expect the price downside risks to be mitigated by CXMT's volume catch up amid the localisation trend. As of 6 August 2026, CXMT traded at 6.4x/4.0x 2027/28E P/BV on a ROE of 83%/60% in 2027/28E. Even though we expect DRAM pricing to start normalising from 2029E, we forecast CXMT to deliver a 28%/22% ROE in 2029/30E.

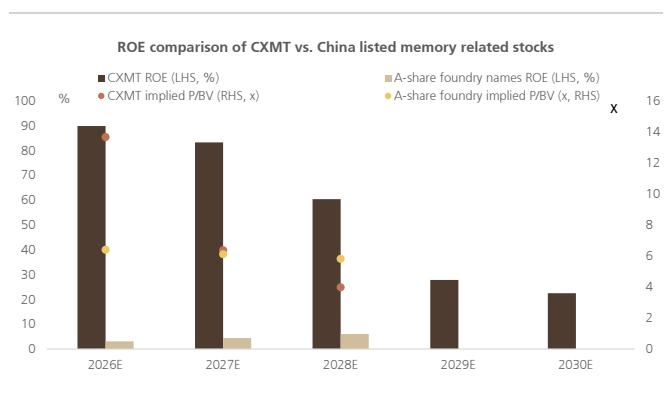
- Compared with A-share memory related stocks.** Similar to CXMT, we believe A-share memory related stocks (mainly memory module suppliers and niche memory suppliers) are subject to global memory pricing cyclicalities, and trade at an average 6.0x/5.0x 2027/28E P/BV on a 26%/21% ROE, more demanding than CXMT as the competitive landscape for module suppliers and niche memory shall be worse than DRAM. Even though we expect CXMT's ROE to normalise to 22-28% in 2029-30E, we believe the current valuation is more attractive.
- Compared with A-share foundry stocks.** As asset heavy businesses, A-share foundry companies trade at an average 6.0x 2026-28E P/BV on a low ROE of 3-6% in 2026-28E, much lower than CXMT's normalised ROE of 22-28% in 2029-30E.

Figure 47: CXMT's P/BV vs. ROE (2026-30E) vs. China memory related companies (2026-28E)



Source: Company data, Wind, UBS-S estimates. Note: Above data as of 6 August 2026; For details of companies included, please refer to our comps table

Figure 48: CXMT's P/BV vs. ROE level (2026-30E) vs. A-share foundry companies (2026-28E)



Source: Company data, Wind, UBS-S estimates. Note: Above data as of 6 August 2026; For details of companies included, please refer to our comps table

Figure 49: Valuation comps

Company	Ticker	Mkt cap (US\$ bn)	Stock price (LC)	PE (x)			P/BV (x)			ROE (%)			EPS growth			PS		
				2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
CXMT	688825.SS	514.9	51.96	23.6	10.4	8.1	13.7	6.4	4.0	89.8	83.2	60.4	6667%	126%	29%	10.8	5.3	4.0
A-share foundries																		
SMIC-A*	688981.SH	95.7	124.15	164.4	134.2	113.7	6.8	6.4	6.1	4.1	4.8	5.3	20%	22%	18%	13.6	11.6	10.2
Hua Hong-A*	688347.SH	38.3	258.10	431.8	311.9	235.6	9.7	9.4	9.1	2.2	2.9	3.7	172%	38%	32%	20.7	17.1	15.0
Nexchip*	688249.SH	12.2	39.69	93.4	65.9	45.1	3.9	3.7	3.4	4.2	5.6	7.6	18%	42%	46%	6.8	5.8	4.9
United Nova*	688469.SH	9.9	8.26	240.1	109.4	n.a.	5.2	5.0	4.6	2.1	4.4	7.4	n.a.	119%	0.8	6.6	5.3	4.3
A-share foundries average				232.4	155.4	131.5	6.4	6.1	5.8	3.1	4.4	6.0	70%	56%	45%	11.9	9.9	8.6
Offshore foundries																		
SMIC-H**	0981.HK	66.8	65.35	89.5	63.6	47.4	4.2	3.9	3.6	4.3	5.4	7.2	58%	41%	34%	8.5	7.2	6.4
Hua Hong-H**	1347.HK	30.3	136.70	186.4	129.7	94.5	5.8	5.6	5.1	2.8	3.8	4.8	279%	44%	37%	12.7	10.7	9.2
TSMC	2330.TW	1902.2	2365.00	21.7	15.9	11.9	8.1	5.8	4.3	35.1	39.4	37.6	64%	37%	33%	11.1	8.0	6.1
UMC	2303.TW	47.4	121.50	15.8	15.3	10.2	3.1	3.0	2.6	22.3	19.9	26.9	131%	3%	51%	5.2	4.0	3.2
Vanguard	5347.TWO	8.8	151.50	24.8	18.9	13.9	3.1	2.8	2.5	13.4	16.3	20.1	44%	31%	36%	4.9	3.4	2.7
Powerchip	6770.TW	8.7	66.6	9.2	6.9	5.9	2.6	2.1	1.7	32.6	33.7	31.4	n.a.	34%	17%	3.6	2.4	2.2
GlobalFoundries	GFS.O	28.0	50.4	26.2	20.2	16.1	2.3	2.2	2.1	8.9	11.2	13.3	11%	30%	25%	3.8	3.3	2.9
Tower Semiconductor**	TSEM.O	25.4	224.7	62.3	36.6	23.6	7.6	6.2	4.6	n.a.	n.a.	n.a.	85%	70%	55%	13.1	9.9	7.4
Offshore foundries average				54.5	38.4	27.9	4.6	4.0	3.3	17.1	18.5	20.2	96%	36%	36%	7.9	6.1	5.0
A-share module suppliers and niche memory names																		
GigaDevice-A**	603986.SS	40.2	385.00	29.6	22.3	22.3	9.2	6.7	4.9	33.3	26.7	24.8	477%	33%	0%	11.8	9.4	8.9
Dosilicon*	688110.SS	7.3	111.90	81.0	79.1	70.8	11.9	10.1	8.6	15.0	13.2	12.9	n.a.	2%	12%	24.0	21.2	18.8
Ingenic*	300223.SZ	9.8	137.00	67.5	54.5	45.8	5.0	4.6	4.2	7.3	8.2	8.8	161%	24%	19%	10.6	8.9	7.6
Biwin*	688525.SS	16.3	232.94	15.4	13.9	11.8	9.6	5.9	3.8	65.7	42.6	32.8	737%	11%	18%	4.7	3.5	2.7
Longsys*	301308.SZ	23.0	366.33	11.3	13.5	13.9	7.4	4.8	3.6	74.2	38.3	27.2	864%	-16%	-3%	4.1	3.4	2.9
A-share memory related names average				40.9	36.7	32.9	8.6	6.4	5.0	39.1	25.8	21.3	560%	11%	9%	11.0	9.3	8.2
Global memory suppliers																		
SK Hynix	000660.KS	763.8	1495000.00	3.8	2.7	2.4	2.7	1.4	1.0	107.8	68.2	47.3	562%	40%	14%	3.0	1.8	1.5
Samsung Electronics	005930.KS	957.5	230500.00	5.3	3.1	2.7	1.8	1.2	0.9	42.5	45.0	37.0	572%	70%	15%	1.8	1.2	1.1
Micron	MU.O	989.4	881.47	7.8	4.3	4.4	5.6	3.4	2.8	89.5	111.0	86.3	274%	80%	-2%	5.5	3.3	3.2
Sandisk**	SNDK.O	200.0	1350.50	9.3	5.7	6.9	6.8	3.3	2.1	67.0	62.5	31.4	399%	63%	-17%	5.9	3.9	4.3
Kioxia	285A.T	169.2	48740.00	5.0	2.7	2.8	5.5	2.4	1.5	51.9	184.9	111.7	1000%	86%	-5%	10.2	2.0	1.4
Nanya Tech	2408.TW	44.1	459.00	7.4	4.4	4.3	3.4	2.2	1.6	68.0	60.8	42.6	2822%	66%	3%	4.5	2.8	2.4
Global memory suppliers average				6.4	3.8	3.9	4.3	2.3	1.6	71.1	88.7	59.4	938%	68%	1%	5.1	2.5	2.3

Source: Reuters, Wind, UBS estimates, UBS-S estimates. Note: Above data as of 6 August 2026; * uses Wind consensus estimates, ** uses Reuters consensus estimates.

Valuation

We derive our price target from a P/BV vs. ROE methodology, in line with UBS's valuation methodology for SK Hynix and Samsung Electronics.

Our price target of Rmb70.00 is based on 8.6x 2027E P/BV on a 37% average ROE in 2028-30E and 8.5% COE. Our target P/BV multiple is at a 40% premium to the average 6.1x 2027E P/BV for its major domestic foundry peers. The premium is derived by comparing domestic semiconductor manufacturing peers' average P/BV multiple with CXMT's historical average P/BV plus 1SD above historical average P/BV.

Figure 50: Price target derivation

Price target (New)	
Valuation method	PB valuation
Valuation base	27E BVPS
BVPS (Rmb)	8.15
Target PB (x)	8.6x
Price target (Rmb)	70.00
Implied market cap (Rmb bn)	4,682
Implied P/E 2027E (x)	14x

Source: Company data, UBS-S estimates

Figure 51: Major domestic foundry peers' historical P/BV

Major A-share peers	P/BV	
	27E	28E
SMIC-A*	6.4	6.1
HuaHong-A*	9.4	9.1
Nexchip-A*	3.7	3.4
United Nova*	5.0	4.6
Average	6.1x	
Premium	40%	
Target P/BV multiple	8.6x	

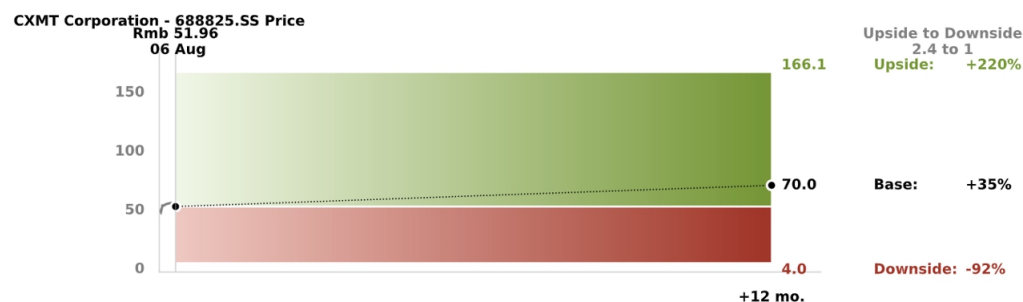
Source: Company data, UBS-S estimates. * uses Wind consensus estimates

Figure 52: Historical P/BV vs. +1 SD

Company	Historical avg PB	+1x S.D.	Average premium
SMIC-A	3.9	5.4	39%
HuaHong-A	3.0	5.4	80%
Nexchip-A	2.3	3.2	41%
United Nova	3.4	0.9	25%
Median			40%

Source: Wind

UPSIDE/DOWNSIDE SPECTRUM



**CXMT is trading at
Rmb51.96 (as of 6
August 2026)**

Value drivers (2027E)	DRAM blended ASP YoY growth (industry)	DRAM blended ASP YoY growth (CXMT)	GPM	R&D expense ratio	Target P/BV
Rmb166.10 upside	+80%	+80%	95%	1.5%	15.0x
Rmb70.00 base	+44%	+60%	89%	2.2%	8.6x
Rmb4.00 downside	-15%	+15%	75%	5.0%	1.0x

Source: UBS-S estimates

Risk to the current share price is skewed (2.4:1) to the upside

CXMT is trading at Rmb51.96 (as of 6 August 2026)

UPSIDE (Rmb166.10): Our upside scenario assumes a much stronger global memory cycle and higher DRAM shipments for CXMT due to stronger than expected DRAM bit shipments. We assume a blended ASP growth of 80% in 2027 (industry DRAM blended ASP at 80%), leading to an 95% GPM. Due to the scale effect and more efficient R&D, we assume a 1.5% R&D expense ratio in 2027. We apply a 15.0x 2027E P/BV, roughly in line with the highest P/BV multiple among A-share foundry companies, to derive our upside scenario.

BASE (Rmb70.00): We forecast the global DRAM cycle will continue to grow in 2027 and peak in Q228. We estimate CXMT's DRAM blended ASP grows 60% in 2027 (vs. industry DRAM blended ASP growth of 44%), leading to GPM of 89% in 2027E. We estimate R&D expense ratio in 2027 to decrease to 2.2% from 4.1% in 2026E due to scale effects. Our price target is based on 8.6x 2027E P/BV.

DOWNSIDE (Rmb4.00): Our downside scenario assumes a weaker global DRAM cycle and DRAM capacity additions for CXMT due to multiple bottlenecks. We assume CXMT's blended ASP rises 15% (vs. industry DRAM blended ASP at -15%), leading to a 75% GPM in the same period. We assume a 5.0% R&D expense ratio in 2027. We apply a 1.0x 2027E P/BV, significantly below the A-share foundry average, to derive our downside scenario.

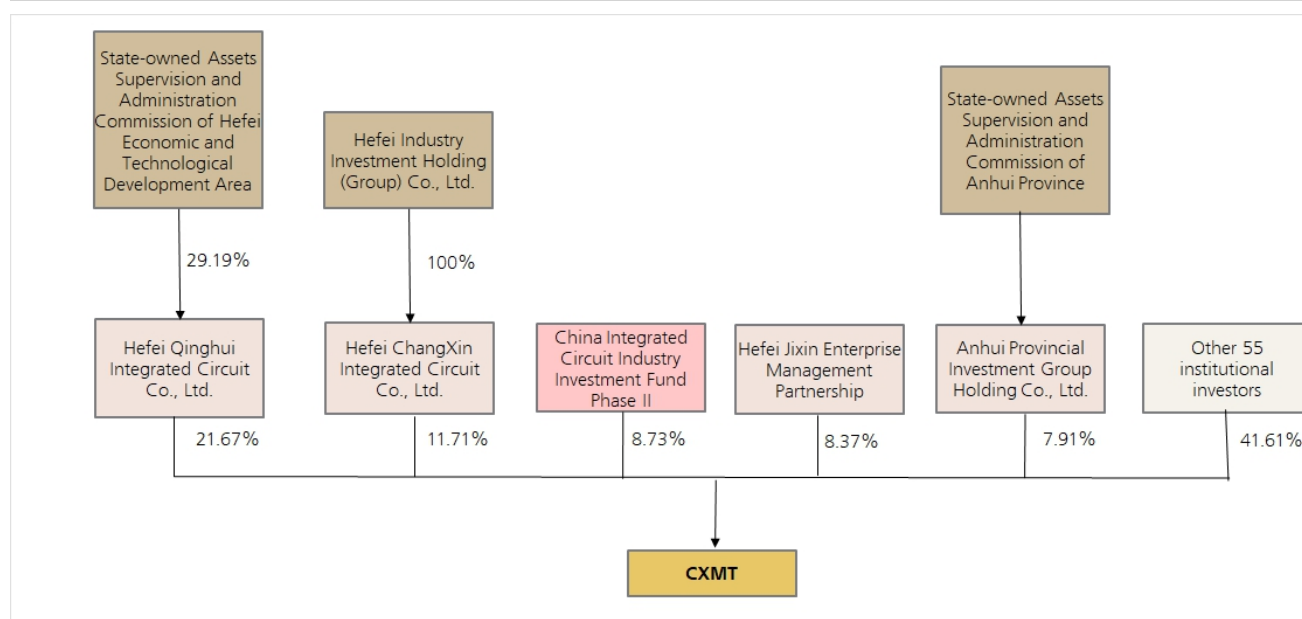
Appendix

Figure 53: CXMT's milestones

Timeline	Milestone
2016	Phase I of CXMT's Hefei DRAM manufacturing base was established.
Mar-17	Construction commenced for Phase I of the CXMT Hefei DRAM project.
Jan-18	Construction of the Phase I fabrication facility in Hefei was completed and equipment move-in began.
Jul-18	Started wafer validation runs and trial production of 8Gb DDR engineering samples.
Sep-19	8Gb DDR4 products were unveiled at the World Manufacturing Convention.
Nov-19	Received its first commercial order and commenced product shipments.
2020	Initiated mass production of LPDDR4X products.
Jun-20	Phase I of the Beijing DRAM project was launched.
Dec-21	Phase II of the Beijing DRAM project was launched.
Jan-22	The pilot production line of Beijing DRAM Phase I was successfully brought online.
Jun-22	The main fabrication building of Beijing DRAM Phase II was structurally completed (topped out).
2023	Initiated mass production of LPDDR5 products.
2024	Initiated mass production of DDR5 products.
2025	Initiated mass production of LPDDR5X products.

Source: Company data

Figure 54: Shareholding structure (when IPO)



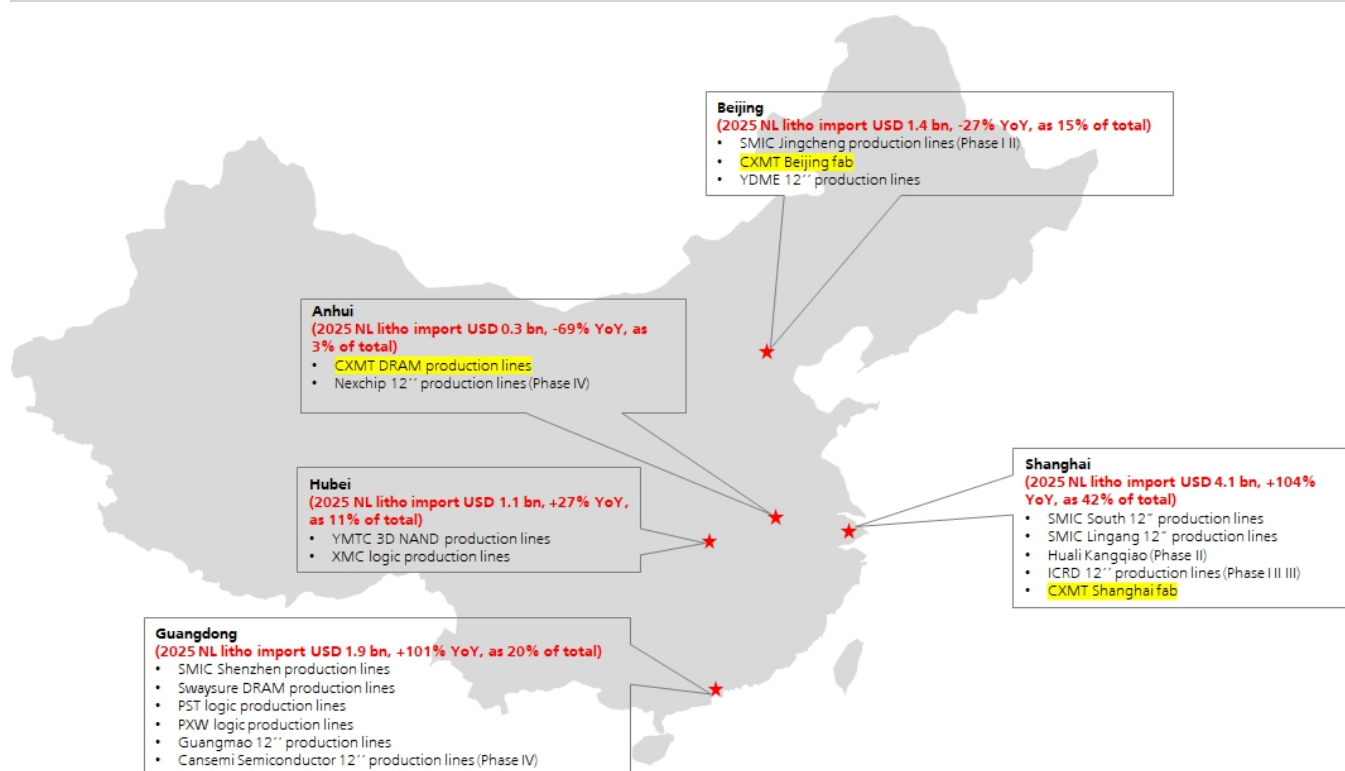
Source: Company data

Figure 55: Major subsidiaries

Company	Establishment date	Paid-in capital (Rmb m)	Stake	Note	Financials (2025, Rmb m)			
					Revenue	NP	Total assets	Net assets
ChangXin Memory Technologies, Inc	11/16/2017	23,888	100%	Hefei fab1	29,025	7,556	78,046	34,445
ChangXin Xinqiao Memory Technologies Co., Ltd.	1/5/2021	53,954	31%	Hefei fab2	17,931	3,328	107,260	57,192
ChangXin Integrated Circuit (Beijing) Memory Technologies Co., Ltd.	8/23/2016	50,849	32%	Beijing Fab1	17,702	4,267	111,777	59,978
Other representative subsidiaries								
ChangXin Memory Product (Hefei) Co., Ltd.	11/4/2022	6,661	100%					
ChangXin Integrated Circuit Technologies (Beijing) Co., Ltd.	12/26/2022	5,000	100%					
ChangXin Integrated Semiconductor (Beijing) Co., Ltd.	12/26/2022	5,000	100%					

Source: Company data

Figure 56: Subsidiary locations and capacity



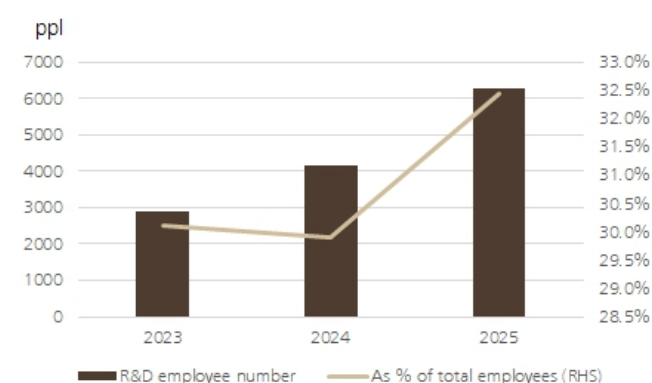
Source: Company data

Figure 57: Management team

Name	Introduction
Yiming Zhu	Founder of GigaDevice in 2005 and currently serves as Chairman of GigaDevice. Previously served as Director, Chairman and CEO of CXMT between 2018 and 2023, and has served as Chairman of CXMT since February 2021.
Kanyu Cao	Joined the CXMT group in 2017 and has held several senior R&D and management positions, including Executive VP of Product R&D and Technology R&D. Currently serves as Director, CEO and President of CXMT.
Lun Zhao	Former General Manager and Executive Director of CXMT. Has served as General Manager since October 2022 and was previously a Board Director from 2023 to 2025.
Yu Zhang	Joined CXMT in September 2024 and currently serves as Co-President of CXMT.
Wenju Zhu	Previously held General Manager and Vice President roles at Micron in Xi'an, Singapore and Malaysia. Joined CXMT in 2021 and currently serves as Executive Vice President.
Danyang Huang	Joined CXMT in 2018 and has held various management positions across finance and operations. Currently serves as Senior Vice President and Chief Financial Officer.
Pengxi Feng	Joined CXMT in August 2024 and currently serves as Senior Vice President.
Yuan Yuan	Joined CXMT in 2018 and has held a number of management positions. Currently serves as Vice President and Board Secretary.
Hongwen Li	Former Design Manager at Micron Semiconductor (Shanghai). Joined CXMT in 2017 and currently serves as Senior Vice President, leading memory design-related functions.

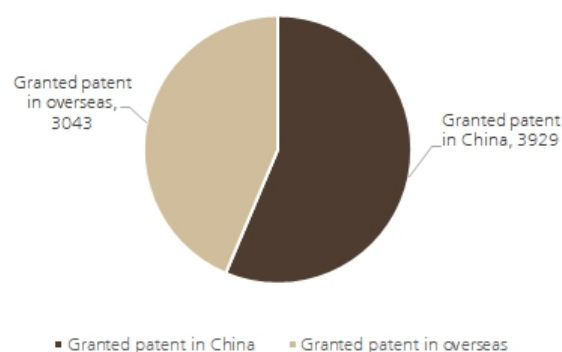
Source: Company data

Figure 58: Number of R&D employees



Source: Company data

Figure 59: Number of patents



Source: Company data

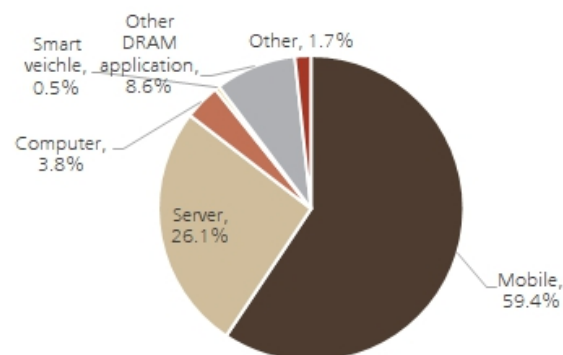
COMPANY DESCRIPTION

ChangXin Memory Technologies (CXMT) is China's largest and most advanced integrated DRAM manufacturer, with comprehensive capabilities spanning R&D, design, and production. Since its founding in 2016, the company has focused on DRAM products, spanning from DDR4, LPDDR4X to DDR5, LPDDR5/5X.

Industry Outlook

UBS forecasts DDR contract prices to rise 20% QoQ in Q326 and 10% QoQ in Q426, following 43% QoQ growth in Q226. We expect DRAM pricing to continue to rise in 2027E due to continued favourable supply and demand (UBS expects the DRAM industry to be undersupplied up to Q228E). Due to the sustained pricing and demand growth, we forecast global DRAM industry revenue to reach US\$642.0bn/1.118trn in 2026/27. We believe localisation in China will remain a structural growth driver.

Revenue by product (2025)



Source: Company data

Gross profit by product segment

Rmb m	2024	2025	2026E	2027E	2028E
DRAM business	952	25,019	241,203	397,959	255,940
Other	396	315	695	742	795
Total	1,349	25,334	241,897	398,701	256,735

Source: Company data, by segment, UBS-S estimates

CXMT Corporation (688825.SS)

	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Income Statement (Rmbm)										
Revenues	9,087	24,178	61,799	307,464	397.5	659,221	114.4	860,049	584,452	582,056
Gross profit	(175)	1,349	25,334	255,789	NM	588,059	129.9	765,076	464,483	431,754
EBITDA (UBS)	(7,129)	7,820	34,023	264,344	NM	605,997	129.2	794,370	506,476	482,812
Depreciation & amortisation	(11,898)	(16,307)	(26,356)	(33,497)	-27.1	(47,655)	-42.3	(62,417)	(75,211)	(84,672)
EBIT (UBS)	(19,028)	(8,488)	7,667	230,848	NM	558,342	141.9	731,953	431,265	398,140
Associates & investment income	0	(14)	303	310	2.2	310	0.0	310	310	310
Other non-operating income	1,739	1,657	2,684	3,188	18.8	3,290	3.2	3,262	3,073	2,783
Net interest	(1,934)	(2,204)	(2,954)	(3,060)	-3.6	(774)	74.7	2,914	7,101	8,417
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	(19,223)	(9,049)	7,701	231,286	NM	561,168	142.6	738,440	441,749	409,650
Tax	(2)	(2)	(557)	(16,190)	NM	(39,282)	-142.6	(51,691)	(30,922)	(28,675)
Profit after tax	(19,225)	(9,051)	7,144	215,096	NM	521,886	142.6	686,749	410,826	380,974
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	2,885	1,906	(5,269)	(75,357)	NM	(189,042)	-150.9	(258,510)	(152,387)	(145,209)
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	(16,340)	(7,145)	1,875	139,739	NM	332,844	138.2	428,239	258,439	235,765
Net earnings (UBS)	(16,340)	(7,145)	1,875	139,739	NM	332,844	138.2	428,239	258,439	235,765
Tax rate (%)	0.0	0.0	7.2	7.0	-3.2	7.0	0.0	7.0	7.0	7.0
Per Share (Rmb)										
EPS (UBS, diluted)	(0.30)	(0.13)	0.03	2.20	NM	4.98	126.3	6.40	3.86	3.53
EPS (local GAAP, diluted)	(0.30)	(0.13)	0.03	2.20	NM	4.98	126.3	6.40	3.86	3.53
EPS (UBS, basic)	(0.30)	(0.13)	0.03	2.20	NM	4.98	126.3	6.40	3.86	3.53
DPS (net) (Rmb)	0.00	0.00	0.00	0.66	-	1.49	126.3	2.24	1.55	1.41
Cash EPS (UBS, diluted) ¹	(0.08)	0.16	0.49	2.73	NM	5.69	108.7	7.34	4.99	4.79
Book value per share	0.66	0.72	0.94	3.80	303.4	8.15	114.4	13.06	14.69	16.67
Average shares (diluted)	53,626	56,571	57,688	63,537	10.1	66,881	5.3	66,881	66,881	66,881
Balance Sheet (Rmbm)										
Cash and equivalents	31,374	42,699	72,629	266,752	267.3	575,117	115.6	997,736	1,132,637	1,306,455
Other current assets	16,076	25,315	38,357	56,330	46.9	80,270	42.5	103,875	116,662	140,366
Total current assets	47,450	68,014	110,986	323,082	191.1	655,387	102.9	1,101,611	1,249,299	1,446,822
Net tangible fixed assets	135,955	194,341	214,814	255,115	18.8	331,146	29.8	389,579	423,286	447,442
Net intangible fixed assets	4,453	5,153	4,278	6,904	61.4	13,273	92.2	20,195	21,266	21,958
Investments / other assets	4,899	4,091	6,708	6,658	-0.7	6,608	-0.8	6,558	6,508	6,458
Total assets	192,756	271,599	336,785	591,759	75.7	1,006,414	70.1	1,517,943	1,700,359	1,922,678
Trade payables & other ST liabilities	20,337	24,096	25,199	30,602	21.4	37,793	23.5	44,925	48,899	56,120
Short term debt	11,316	33,095	27,644	24,000	-13.2	21,500	-10.4	19,000	16,500	14,000
Total current liabilities	31,653	57,191	52,842	54,602	3.3	59,293	8.6	63,925	65,399	70,120
Long term debt	89,823	95,994	118,825	100,000	-15.8	80,000	-20.0	50,000	20,000	10,000
Other long term liabilities	6,167	14,157	11,017	10,042	-8.9	10,042	0.0	10,042	10,042	10,042
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	127,643	167,342	182,685	164,644	-9.9	149,335	-9.3	123,967	95,441	90,162
Common s/h equity	35,595	41,420	56,754	254,411	348.3	545,333	114.4	873,719	982,275	1,114,664
Minority interests	29,518	62,837	97,346	172,704	77.4	311,746	80.5	520,256	622,643	717,852
Total liabilities & equity	192,756	271,599	336,785	591,759	75.7	1,006,414	70.1	1,517,943	1,700,359	1,922,678
Cash Flow (Rmbm)										
Net income (before pref divs)	(16,340)	(7,145)	1,875	139,739	NM	332,844	138.2	428,239	258,439	235,765
Depreciation & amortisation	11,898	16,307	26,356	33,497	27.1	47,655	42.3	62,417	75,211	84,672
Net change in working capital	(16,737)	(8,291)	(7,547)	(12,570)	-66.5	(16,749)	-33.2	(16,473)	(8,813)	(16,483)
Other operating	13,907	6,026	15,837	74,382	369.7	189,042	154.2	258,510	152,387	145,209
Operating cash flow	(7,272)	6,897	36,520	235,048	NM	552,793	135.2	732,693	477,224	449,163
Tangible capital expenditure	(43,658)	(71,230)	(49,739)	(72,407)	-45.6	(121,443)	-67.7	(116,534)	(102,353)	(101,913)
Intangible capital expenditure	0	0	0	(4,017)	-	(8,613)	-114.4	(11,238)	(7,637)	(7,605)
Net (acquisitions) & disposals	(225)	(1,186)	(2,206)	0	-	0	-	0	0	0
Other investing	(118)	0	(34,878)	50	-	50	0.0	50	50	50
Investing cash flow	(44,002)	(72,415)	(86,823)	(76,374)	12.0	(130,006)	-70.2	(127,721)	(109,940)	(109,468)
Equity dividends paid	0	0	0	0	0.0	(41,922)	NM	(99,853)	(149,884)	(103,376)
Share issues / (buybacks)	18,039	45,867	31,795	57,919	82.2	0	-	0	0	0
Other financing	891	3,587	(951)	0	-	(50,000)	-	(50,000)	(50,000)	(50,000)
Change in debt & pref shares	31,876	27,760	15,277	(22,469)	-	(22,500)	-0.1	(32,500)	(32,500)	(12,500)
Financing cash flow	50,807	77,214	46,121	35,450	-23.1	(114,422)	-	(182,353)	(232,384)	(165,876)
Cash flow inc/(dec) in cash	(466)	11,696	(4,182)	194,123	-	308,365	58.9	422,619	134,901	173,819
FX / non cash items	(233)	(371)	34,112	0	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	(699)	11,325	29,930	194,123	NM	308,365	58.9	422,619	134,901	173,819

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts. ¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

CXMT Corporation (688825.SS)

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	-	-	-	23.6	10.4	8.1	13.4	14.7
P/E (UBS, diluted)	-	-	-	23.6	10.4	8.1	13.4	14.7
P/CEPS	-	-	-	19.1	9.1	7.1	10.4	10.8
Equity FCF (UBS) yield %	-	-	-	4.6	12.2	17.4	10.6	9.8
Dividend yield (net) %	-	-	-	1.3	2.9	4.3	3.0	2.7
P/BV	-	-	-	13.7	6.4	4.0	3.5	3.1
EV/revenues (core)	-	-	-	NM	5.3	3.8	5.3	5.2
EV/EBITDA (UBS core)	-	-	-	13.7	5.7	4.1	6.1	6.2
EV/EBIT (core)	-	-	-	15.6	6.2	4.5	7.1	7.5
EV/OpFCF (core)	-	-	-	15.7	6.2	4.5	7.1	7.5
EV/op. invested capital	-	-	-	14.3	10.5	7.8	6.4	5.7
Enterprise value (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	-	-	-	3,475,131	3,475,131	3,475,131	3,475,131	3,475,131
Net debt (cash)	53,358	78,078	80,115	(34,456)	(308,184)	(701,176)	(1,012,436)	(1,189,296)
Buy out of minorities	29,518	62,837	97,346	172,704	311,746	520,256	622,643	717,852
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	-	-	-	3,613,379	3,478,692	3,294,210	3,085,337	3,003,686
Non core assets	(203)	(1,379)	(3,918)	(3,868)	(3,818)	(3,768)	(3,718)	(3,668)
Core enterprise value	-	-	-	3,609,511	3,474,875	3,290,442	3,081,619	3,000,019
Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	9.7	166.1	155.6	NM	114.4	30.5	(32.0)	(0.4)
EBITDA (UBS)	NM	-	NM	NM	129.2	31.1	(36.2)	(4.7)
EBIT (UBS)	(132.3)	55.4	-	NM	141.9	31.1	(41.1)	(7.7)
EPS (UBS, diluted)	-	58.5	-	NM	126.3	28.7	(39.7)	(8.8)
Net DPS	-	-	-	-	126.3	50.1	(31.0)	(8.8)
Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	NM	5.6	41.0	NM	NM	NM	NM	74.2
EBITDA margin	NM	32.3	55.1	NM	NM	NM	NM	NM
EBIT (UBS) margin	(209.4)	(35.1)	12.4	75.1	84.7	85.1	73.8	68.4
Net earnings (UBS) margin	NM	NM	3.0	45.4	50.5	49.8	44.2	40.5
ROIC (EBIT)	NM	NM	3.7	NM	NM	NM	NM	NM
ROIC post tax	NM	NM	3.4	NM	NM	NM	NM	70.4
ROE (UBS)	(38.3)	(18.6)	3.8	89.8	83.2	60.4	27.8	22.5
Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	(9.8)	11.0	2.2	(0.5)	(0.8)	(1.2)	(2.2)	(2.7)
Net debt / total equity %	107.1	82.9	47.9	(33.4)	(55.3)	(66.6)	(68.3)	(70.0)
Net debt / (net debt + total equity) %	51.7	45.3	32.4	(50.2)	NM	NM	NM	NM
Net debt/EV %	-	-	-	(1.0)	(8.9)	(21.3)	(32.8)	(39.6)
Capex / depreciation %	NM	NM	NM	NM	NM	NM	149.1	131.1
Capex / revenue %	NM	NM	NM	23.5	18.4	13.5	17.5	17.5
EBIT / net interest	-	-	2.7	NM	NM	-	-	-
Dividend cover (UBS)	-	-	-	3.3	3.3	2.9	2.5	2.5
Div. payout ratio (UBS) %	-	-	-	30.0	30.0	35.0	40.0	40.0
Revenues by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
DRAM	8,583	22,972	60,235	302,418	653,737	854,082	577,955	574,975
Other product and service	480	957	1,041	4,522	4,961	5,443	5,973	6,557
Others	24	249	523	524	523	524	524	524
Total	9,087	24,178	61,799	307,464	659,221	860,049	584,452	582,056
EBIT (UBS) by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
EBIT	(19,028)	(8,488)	7,667	230,848	558,342	731,953	431,265	398,140
Others	0	0	0	0	0	0	0	0
Total	(19,028)	(8,488)	7,667	230,848	558,342	731,953	431,265	398,140

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	34.7%
Forecast dividend yield	1.3%
Forecast stock return	36.0%
Market return assumption	6.8%
Forecast excess return	29.2%

Company Description

ChangXin Memory Technologies (CXMT) is China's largest and most advanced integrated DRAM manufacturer, with comprehensive capabilities spanning R&D, design, and production. Since its founding in 2016, the company has focused on DRAM products, spanning from DDR4, LPDDR4X to DDR5, LPDDR5/5X.

Valuation Method and Risk Statement

Although the overall cyclical risk of the DRAM industry has decreased in the long term amid significant industry consolidation and slowing growth, the sector still retains its commodity attributes, so cyclical adjustments will still occur. DRAM is highly sensitive to the demands of smartphones/tablets and the structure of its product portfolio. The industry remains capital-intensive, and due to contract prices being negotiated every two to three months, cash flow fluctuates sharply—so sufficient capital reserves are needed. Finally, in the long run, the industry may shift toward new storage technologies to supplement or even replace existing architectures.

We use the PB valuation method to value CXMT. Downside risks include and are not limited to: 1) Price declines as new industry capacity is gradually released; 2) Progress in technology iteration and process migration is slower than we expected; 3) AI penetration is slower than expected, leading to a decline in storage capacity demand for servers and other facilities; 4) Geopolitical tensions have increased, with increased restrictions; 5) Intensified industry competition leading to loss of DRAM market share, etc.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

CXMT Corporation

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	4
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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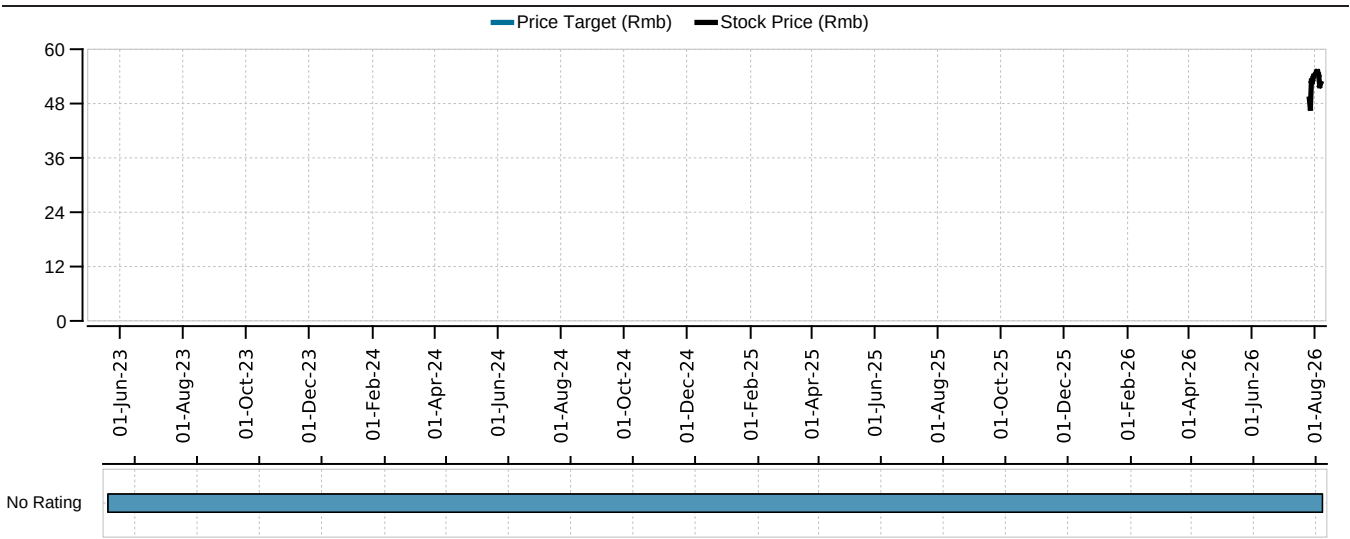
Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
CXMT Corporation	688825.SS	No Rating	Rmb52.48	07 Aug 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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CXMT Corporation (Rmb)



Date	Stock Price (Rmb)	Price Target (Rmb)	Rating
2023-05-05	NaN	-	No Rating

Source: UBS Global Research; LSEG Eikon as of 07-Aug-2026. All prices as of local market close. Ratings as of date shown.

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